Issues in Pakistan Economy
ECO610



Munazza Ahmed

Department of Management Sciences

Virtual University of Pakistan

VU Academic Consultant 03222254114

Course Outline

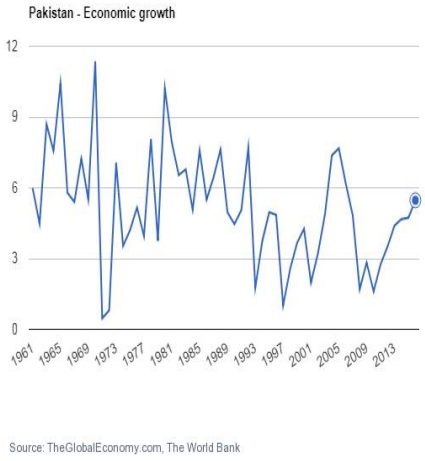
Module	Topics
1- Structural Transformation	Introduction
	Structural Transformation
	Laying the Foundation
	Decade of Development
	The bad luck years
	2nd Military Regime
	Structural Adjustment
	Democratic Transition
	Conclusion
2- Agriculture Sector of Pakistan	Agriculture Sector
	Agriculture before British Rule
	Impact of British colonialism
	Feudal or Capitalist?
	Green Revolution
	Land Reforms
	Issues in Agriculture
3- Industrial Sector of Pakistan	Industrial Sector of Pakistan
	Phase 1 (1947-1958)
	Second Phase (1958-1968)
	Third Phase (1969-1977)
	Fourth Phase (1977-1988)
	Structural Adjustment
	Key Issues in Industry
4- Public Finance and Fiscal Policy	Structure of Government

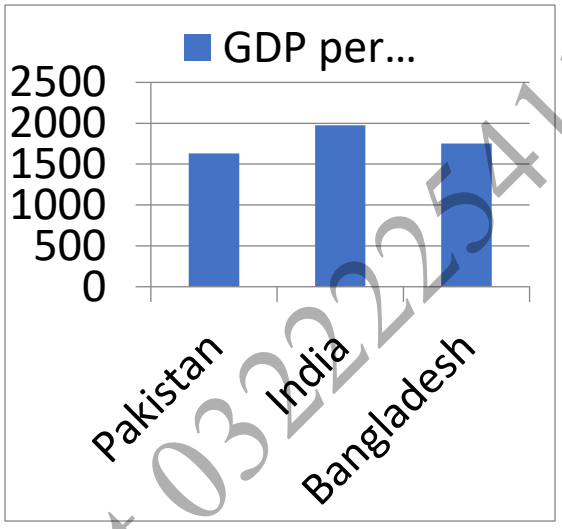
VU Academic Consultant 03222254114

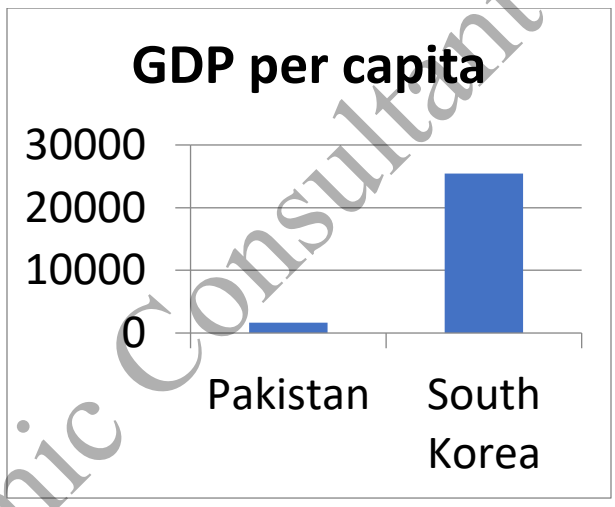
	Structure of Taxation
	Issues in Taxation
	Debt and Deficits
	Pakistan's Fiscal deficit
	Domestic and Foreign Debt Crises
5- Monetary Policy and Monetary Management	Financial Sector of Pakistan
	Monetary management of Pakistan
	Financial Liberalization and its Consequences
	Monetary Expansion and Inflation
	Inflation Trends
	The Low Savings Rate
6- Balance of payment and Trade Regimes	Pakistan's Foreign Trade; Early Years
	Pakistan's Foreign Trade; Development Decade
	New Government's Trade Policy (1972-1977)
	Liberal Trade Regime and Structural Adjustment
	Foreign Exchange Rate
	World Trade Organization (WTO) and Globalization
7- IMF and Structural Adjustment Programs (SAP) in Pakistan	Structural Adjustment Programs and IMF: Historical Perspective SAP: Implementation and Achievements

VU Academic Consultant 03222254114

MODULE 1
Structural Transformation







South Korea was similar to Pakistan in 1960 but today the GNP per capita of South Korea is 18 times more than Pakistan.

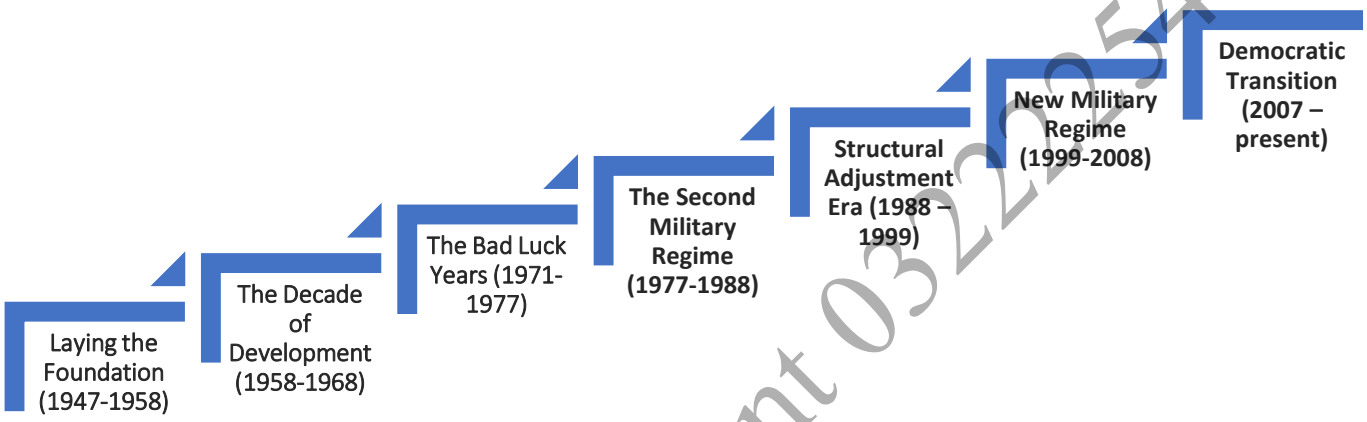
Abbreviations

GDP: Gross Domestic Product
FDI: Foreign Direct Investment
FY: Fiscal Year
CPEC: China Pakistan Economic Corridor
GSP: Generalized System of Preferences
EU: European Union
PPP: Pakistan People's Party
PML-N: Pakistan Muslim League-Nawaz
IFPRI: International Food Policy Research Institute

VU Academic Consultant 03222254114

AEDB: Alternative Energy Development Board
IPPs: Independent Power Producers
LOIs: Letters of Intent
MW: Mega watt
CNG: Compressed Natural Gas

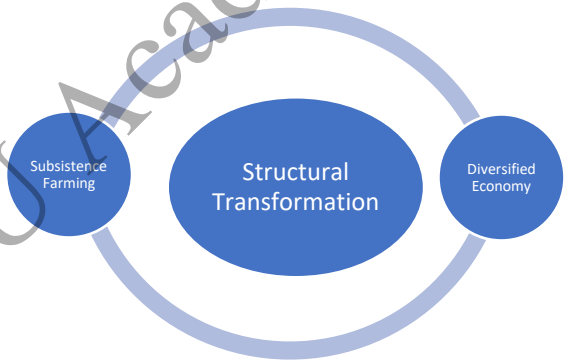
Outline



Structural Transformation at a Glance

Structural transformation refers to the process of shifting resources from traditional sectors, such as agriculture, towards more modern and productive sectors like manufacturing and services. The reallocation of economic activity among 3 broader sectors of developing economy:

- Agricultural
- Manufacturing
- Services



VU Academic Consultant 03222254114

Agenda

- To evaluate the performance of our country over a period of about seven decades
- A brief overview to understand Pakistan economy's structural transformation
- Own development narrative

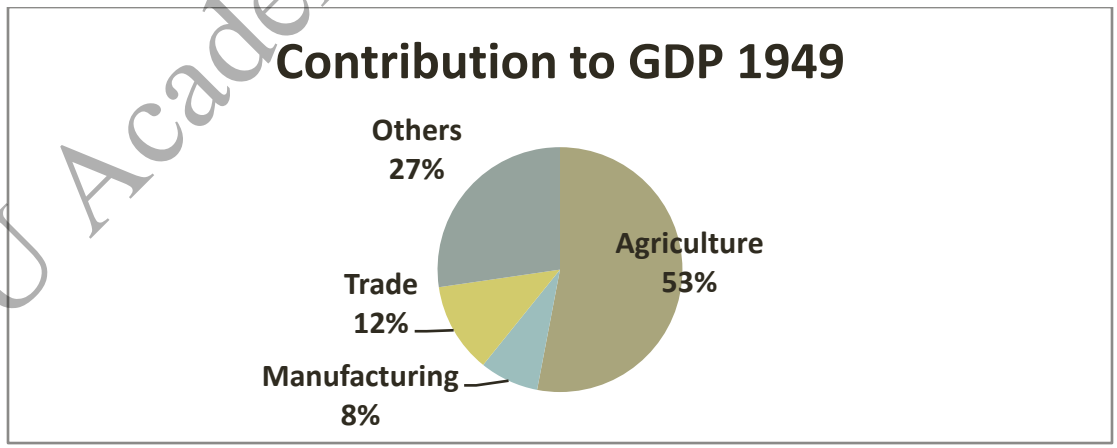
Sectoral contributions to GDP at the time of independence;

- Agriculture 53% (65% labor force involved)
- Manufacturing 7.8%
- Other 27%
- Trade 11.9%

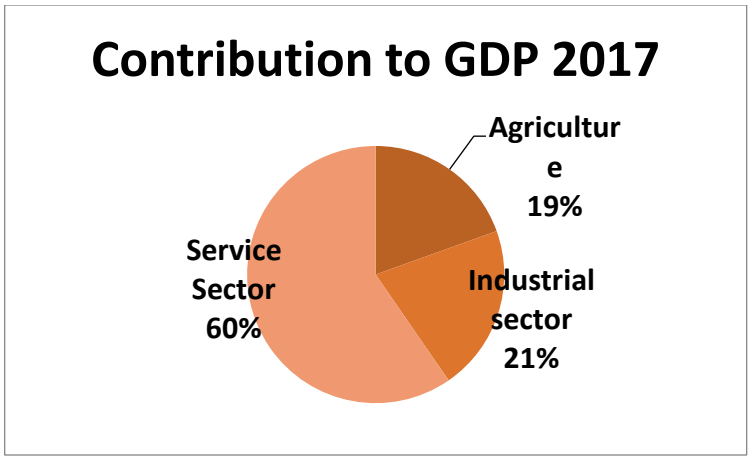


Sectoral contributions to GDP today;

- Agriculture 19.5% (42.3% labor force involved)
- Industrial Sector 20.88%
- Services sector 59.59%



VU Academic Consultant 03222254114



The huge transformation in *economic*, *social* and hence *political power* from the agriculturist towards an urban and rural middle class. One of the key indicators highlighting the *extra ordinary structural transformation* of Pakistan over the time period.

70 years of Development
Or
7 Decades of Pakistan's Economy

Pakistan today is less than half of the country it was in 1947 with reference to its population. (Since 55 % of the population lived in East Pakistan).
Geographically West Pakistan was 6 times more than East Pakistan.
Huge contributions to society and economy by east Pakistan.

Laying the Foundations (1947-1958)

Features

- Predominantly agrarian
- Undeveloped and newly independent nation
- Little industry, few services
- Absence of economic infrastructure
- Adverse international conditions
- Precarious domestic situation (with millions of refugees)
- Attempts of bureaucracy to keep Pakistan on its feet
- Lack of capital
- Colombo Plan launch 1951 (Rs.2600 million)
- Provision of very basic necessities
- Building an economic base by state sector

VU Academic Consultant 03222254114

Policy Success

- Ban on Imports of cotton textiles and Luxury goods
- Emphasis on Industrial Growth
- Manufacturing Sector Growth 34% (1952-54)
- Korean War (1950-1953)

Policy Failure

- Decline in agricultural growth rate (1951-1958)
- Severe floods in the Sindh and Punjab (1948)
- Deficit financing throughout 1950's

The Decade of Development (1958-1968) **(*It's also known as Golden time period)***

Military takeover by General Ayub Khan in October 1958.

Features

- Considerable Economic growth
- Economic policy-making Focus
- Model Capitalist Economy
- High growth rate in manufacturing
- Progress in Agriculture sector (5% p.a)
- Increase in Exports
- Inflow of American Aid
- Indus Water Treaty
- Water & Power Investments
- 1965 War
- Economic & political tensions grew between the two wings

Policy Success

- Economic and social reforms
- Increase in Investment (three-fold ↑)
- Technological breakthrough in Agriculture (5% p.a)
- Coordinated economic policies
- Price stability

Policy Failure

VU Academic Consultant 03222254114

- Regional Disparities (Industry and Agriculture in Central Punjab, Industry in Karachi)
- Feeling of East Pakistan of Utter neglect → Demand for full economic autonomy
- Income Inequality (concentration of economic power, few families acquired most of the national wealth)
- Perpetuation of Industrial & Trade policies
- Functional Inequality (as social sector was neglected)
  - Education sector
  - Health Sector
  - Little increase in real wages

An Assessment

Commitment to Development
Development momentum disrupted by 1965 War
(↓ Foreign Aid, ↑ Defence spending, ↓ Investment)
Growing Economic Disparity
An era with exceptionally successful period of economic management.

The Bad Luck Years (1971-1977) **(*It's also known as Loss of east Pakistan)***

This era brought fundamental structural and institutional changes is social, economic and political sectors.

Features

- Nationalization (Manufacturing industries, Banking, Insurance, Education etc.)
- 1973 oil price shock → Balance of Payment worsened
- Devaluation Pakistani rupee → Foreign exchange earnings ↑
- Worldwide recession → Exports
- Massive floods 1973 and 1974
- Worst Inflation
- Fiscal deficit widened further

Policy Success

- Foreign exchange earnings ↑
- Investment in Big industrial units ↓
- Land and labor Reforms

VU Academic Consultant 03222254114

Policy Failure

- Private sector investment ↓
- Worst Inflation (15% p.a.) → Real Incomes ↓
- GDP growth ↓
- ↓ Expenditure on defence and administration → Budget deficit ↑
- ↓ Development expenditure → employment↓
- Socialism experiment leaves negative impact

<u>The Second Military Government (1977-1988)</u> (It's also known as 2nd Economic Revolution)

2nd Military Regime

Military takeover by General Zia-ul-Haq in July 1977.

Features

- Improvement in growth rate
- Decline in Poverty
- Decline in unemployment
- Liberal economic policies
- Higher industrial growth
- Domestic debt Increases
- Defence spending Increased
- Development spending neglected
- Fiscal deficit

Policy Success

- Two major initiatives of last tenure started paying off in this regime; i.e.
  - Mega projects (such as Tarbela dam)
  - Pakistani expatriates sent abroad
  - Inflow of foreign remittances ↑
  - Foreign Aid ↑ (Afghan War) (these two factors ease the fiscal pressure)
- Islamic interest free banking System
- GDP growth ↑ (4.9% to 6.6%) (Economic Success)
- Agriculture growth ↑
- Manufacturing growth ↑

VU Academic Consultant 03222254114

Policy Failure

- Domestic saving rate (below 10%) (Domestic dead)
- Exports as a percentage of GDP (below 10%)
- Inadequate investment in social & economic infrastructure
- Negative public saving
- Declining public investment
- Domestic debt explosion (large interest payment and fiscal deficit)
- Neglect of development spending
- National saving/GDP (16%) But used to finance large fiscal deficit.
- Fiscal deficit a result of;
  - Non-developmental expenditure ↑
  - Tax revenue/GDP ration ↓

The Era of Structural Adjustment: (1988-1999) ***(It's also known as Debt crises era)***

Structural Adjustment Era started in 1988 (democratically elected regime).

Features

- Democracy (4 General elections)
- Political Instability
- Corruption in governance at peak
- Law & order situation
- In-efficient state-owned Banks
- Debt crises
- Economic liberalization
- Structural adjustment program (IMF & World Bank)

Policy Success

- Economic Reforms 1991
- Privatization of state-owned enterprises & Banks → Expenditure on subsidies ↓
- Energy Policy (private power policy of 1994)

Policy Failure

- Debt crises (public debt / GDP 102%)
- Rising unemployment (development expenditure declined)

VU Academic Consultant 03222254114

- External deficit ↑
- Worst Inflation
- GDP growth ↓
- Poverty ↑
- Declining workers remittances
- External debt tripled
- Economic difficulties ↑ after;
    - With drawl of US Aid
    - Economic sanction 1998
- Structural adjustment program (International Lending Institution) → Loss of Economic freedom
- Economic growth continuously ↓
  Due to;
    - Macroeconomic instability
    - Political instability
    - Poor governance
    - Unfavorable external environment
- Declining private investment

<u>New Liberalism, Dictatorship (1999-2007)</u> (It's also known as 2nd Golden era)

3rd Military Regime

Military took over the Government in October 1999.

Features

- Most sanctioned country (Post 1998)
- GDP growth ↑
- Foreign exchange reserves ↑
- Budget deficit ↓
- Unemployment rate ↓
- Real state development
- Modern services sector
- Foreign Direct Investment ↑

Policy Success

- Government formulated comprehensive set of reforms for;
    - Reviving the economy

VU Academic Consultant 03222254114

  - Establishing institutional basis to improved governance
- Substantial improvement in macroeconomic indicators
- Investment rate ↑ (17.2% of GDP in 2001 to 23% in 2006)
- Foreign direct investment ↑ (Investor confidence)
- GDP per capita ↑ (3.9% in 1999 to 6% till 2007)
- Stock Exchange performance ↑ (Best performing equities market)
- Education sector expanded (Record allocations for science and technology, education sectors)
- Modern services sector development results in job creation like IT sector

Policy failure

- Continued widespread poverty
- Shortage of basic services
- Dependency on foreign inflow (Afghan War)
- Free media / press
- Investment in consumer products & domestic services cannot be basis of **long-term sustainable growth.**

Analysis

Economically this era embarked the achievement of many milestones and demonstrated excellent growth rates.

Democratic Transitions (2007 onwards)

Democratic Government started after General Elections in 2008.

Features

(2008-2013)

- Declining GDP Growth
- Inflation increases
- Global Financial Crisis
- Rising foreign debt
- Rampant Corruption
- Rising Unemployment
- Falling FDI
- Energy crises
- Terrorism at peak

(2013-2018)

VU Academic Consultant 03222254114

- GDP Growth improvement
- Budget deficit ↓
- Private sector confidence improved
- Inflation ↓
- Improvement in Tax collection
- Imports ↑
- Current account deficit ↑
- Debt Burden ↑

Policy Success

- FBR tax revenue ↑
- Energy crises (up to 33000MW)
- Average inflation (4% in last five years)
- CPEC (The goal of the CPEC is both to transform Pakistan's economy—by modernizing its road, rail, air, and energy transportation systems)
- War on terror

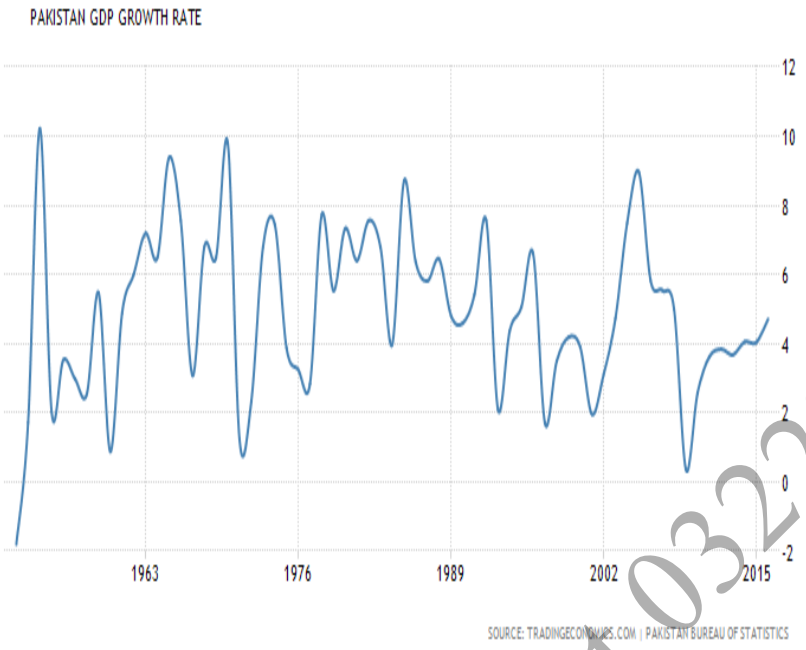
Policy failure

- Short term policies
- External debt
- Circular debt highest (Rs 922 billion) (Rs. 120 bn 2010)
- Strategic Trade Policy Framework (STPF)

Analysis

- 32 Years of Military Government (3 times of different military governments)
- 38 Years of democratic government (4 times of democratically elected governments)
- Healthy growth around 5% (falling trend since 1988)
- 39th poorest nation in world
- Highly dependent on Aid and foreign assistance
- Capitalist development (Role of private sector is important)

VU Academic Consultant 03222254114



- Lowest performers in the South Asia Region on human development indicators, especially in education
- Lowest female labor force participation rates in the region
- Tax-to-GDP ratio, at 12.4 percent, is one of the lowest in the world
- Corruption (score 32/100)
- Pakistan being blessed with;
- Skilled labor
- Sufficient natural endowments
- Could have grown much more

MODULE 2
Agriculture Sector of Pakistan

Introduction

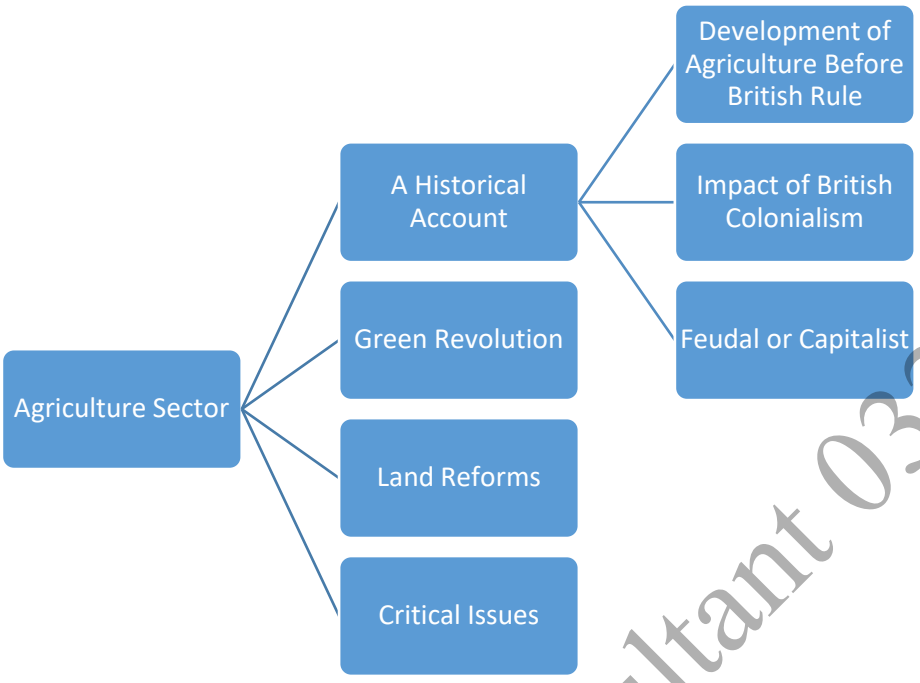
Agriculture sector is the backbone of economy. It is the second largest sector of Pakistan's Economy. Around 20% towards GDP. 42.3% labor force employed. Basic supplier of raw material to Industry (Such as Textile & Sugar). Agriculture performance has been unsatisfactory. Its attributable basically to;

- Traditional methods
- Lack of motivation
- Lack of research

VU Academic Consultant 03222254114

- Natural disaster (like pets attacks & floods)

Outline



Agenda

Briefly narrate the history of agriculture development in Pakistan from the pre-colonial Mughal times and examine the consequences of British rule.

A Historical Account

Summarize the changes that have taken place over three centuries and conclude with a picture of the agriculture sector at the time of independence in 1947.

Pre-British Rule

The development of Agriculture before the consolidation of British Rule.

Two school of thoughts;

1. Pre-colonial India was Stagnant society, Colonial Impact brings modernization and Development.
2. Underdevelopment in south Asian sub-continent is result of colonial impact.

Mughal Rule

India was a pre-capitalist social formation before the British Rule.

VU Academic Consultant 03222254114

Under the Mughal Rule all land was owned by the King alone.

- No private property in Land
- Permission for use granted by king

Mansabdars or Jagirdars

- Part of the ruling class who were supposed to maintain armies to serve the emperor.
- Paid salaries in cash or commonly given Jagirs
- transferred from one area to another
- responsible for collecting revenues from the peasants
- officials rather than feudal lords

Zamidars

- Appointed by the emperor
- responsible for collecting revenues on behalf of King
- influential individuals from village
- Local lord / master
- Presided over all the social and judicial matters at the village
- Did not own the land

Khalisa Lands

- Revenue sent to the state directly
- No question of land being inherited by either the peasants family or the zamidars
- No occupancy rights
- Zamidars and Jagirdars assert authority over assigned tracts of land
- In 1707 (death of Aurangzeb) Mughal empire began to Decay
- Central authority weakened
- Zamindars and Jagirdars became more strong where they could

VU Academic Consultant 03222254114

- Tried to strengthen their claims on land and hold on the peasants

The Impact of British Colonialism

In the middle of 18th century, colonial expansion started in south Asia and by end of the century British established direct or indirect control over the greater part of its land. The Impact of British rule brings **three institutional changes** which had important consequences.

1. **Institution of Private Property**

It was introduced in late eighteenth and early nineteenth century.

2. **A Legal System**

It was established with reference to the ownership of property.

3. **An Efficient Government**

It systematized / settled multiple claims of land which emerged after decline of Mughal empire.

As a result, the power of the landlord over the peasant was dissolved and re-structured. Economic and political power separated.

In 1793, in **Bengal;** Property rights given to revenue collectors / zamindars (who had taken land possession), ensuring the revenue collection.

In 1843, **Sindh** was taken over by the British Empire. The ryotwari system was established for land. A system in which State was landlord and the occupant was its ryot / tenant. Occupant was given Heritable and Transferable rights. Payment of land revenue was basic condition.

The British granted ownership rights of large tracts of land (as Jagirs) to the influential as they provided some kind of service to the British rulers. These owners became land lords of Sindh.

Steps by British rulers;

1. Introduction of monetary tax
    - Tax on cultivated land as well as on fallow land
2. Agriculture commercialization

VU Academic Consultant 03222254114

- Emergence of agricultural market
- Product selling in market

3. Process of building canals (late 1870's) (Punjab)
4. Proprietary rights were given to self-cultivators (1912)

RESULT:

- Greater integration of Rural economy with rest of Indian sub-continent as a result Agricultural commercialization.
- Agricultural development on Capitalistic lines.
- Cropped area ↑ (grew)
- Marketable agricultural Product ↑ (grew)
- Land held by usurers under mortgages (emergence of debt market)

In 1947, **Punjab** had 42% land with landlords and 58% was on lease.

Sindh had 80% land with landlords.

FEUDAL OR CAPITALIST?

British colonialism initiated capitalism in agriculture in the region.

- Absence of Agriculture revolution
- Economic expansion & modernization
- Quantitative increase (not qualitative)
- Greater integration (monetization)

Capitalist form of agriculture did not emerge on significant scale so conclusion is clear Agriculture remained feudal or at least pre-capitalist.

According to many scholars, British instituted capitalism.

- Private ownership of land
- Emergence of agricultural market
- Rights of alienation & transfer
- Introduction of legal system

VU Academic Consultant 03222254114

- Establishment of official sources of credit
- Protection of rights of land users
- Greater interaction & integration between town and country
- Quantity of crops grew (exported as well)
- Wage labor emergence
- Setting up of agricultural zones

These arguments are enough to support for Pre-capitalist to Capitalist type of Agriculture.

GREEN REVOLUTION

Most important events in Pakistan's agricultural history are **Green Revolution** occurred in mid-1960s. Green revolution is significant increase in agricultural productivity resulting from the introduction of technology package of **high yield varieties (HYV) seeds, chemical fertilizers** and **pesticides.** This results in major changes in **economic, social and political** structure of the country.

1959- 1964 3.7% annual

1965-1970 6.3% annual

Increase in growth took place in TWO phases;

1. *1960-1964* → Increase in irrigation facilities (tube wells)
2. *1965-1970* → Use of high yielding variety of seeds, pesticides and fertilizers.

Complete **technology package** of;

- Water
- Seed (two HYVs)
- Fertilizer
- Pesticides

Most important ingredient in the technology package was water.

VU Academic Consultant 03222254114

Green Revolution was a resounding success, however there arise various issues as a result.

Green Revolution issues

1. Issue of the tube wells
2. Issue of mechanization (use of tractors)
3. Regional & Income disparities

1. The Issue of the tube wells

1960 → few hundred

1968 → 75000

1975 → 1,56,000

But there arise **three major issues** in this regard.

1. Highly concentrated in canal colony districts of Punjab (91% in 1968). Very little tube well development outside Punjab. Even the middle level peasants could not afford its cost.
2. Large public subsidies were given for this investment. (Fuel, installation cost, and maintenance)
3. Developed by landowners having more than 25 acres of land due to size and cost of tube wells. (70% of tube wells with big farmers)

2. Mechanization Issue (Use of tractors)

1960 → 2000 tractors

1968 → 18,909 tractors

But Most tractors were owned by the land lords with more than 100 acres of land. (38% in Multan division)

3. Regional & Income Disparities

- Installation of tube wells
- Tractorization
- Access to credit

Inaccessible to poor farmers hence the result is interregional and income disparities.

VU Academic Consultant 03222254114

Since the NWFP and south eastern part of Sindh had inadequate access to water and the HYV technology.

Thus, Landowners owning 50 to 100 acres of land, almost all of them from Punjab, produced "Pakistan's Green Revolution".

LAND REFORMS

Introduction

Land reforms is changing the pattern of land possession to stop the concentration of land, by reallocation of land between landless / small land owners by taking land from large land owners.

Pakistan had a long history of land reforms starting in 1947, focusing then **nature of tenancy** and **structure of land holdings**.

Objective of Land Reforms

The objective of land reforms was to put **ceilings on landholdings** and supposed to be an attempt to change **tenancy regulations**.

1. 1959 Land Reforms

2. 1972 Land Reforms

3. 1977 Land Reforms

1959 Land Reform Features

- A ceiling of 500 acres of irrigated and 1000 acres of unirrigated land
- Tenants already cultivating lands
- Permanent ownership to occupants
- Compensation was paid (Rs. 5/ per PIU)
- Resumed land to be sold to landless tenants

Critical analysis;

- Many landlords benefited by getting compensation for their poor-quality land.
- By 1967, only 50% of the resumed land had been sold
- 20% from this half of the resumed land was sold to landless tenants

VU Academic Consultant 03222254114

- 80% of this land was auctioned to rich farmers and civil, military officials.

1972 Land Reform Features

- A ceiling of 150 acres of irrigated and 300 acres of unirrigated land.
- Permanent ownership to occupants.
- No compensation was paid.
- Resumed land to be given to landless tenants free of cost.
- Pending dues of 1959 land reforms were written off for tenants.

Critical analysis;

- Only 42% land was resumed in Punjab, 59% in Sindh.
- 0.6 million acres land resumed (far less than 1959 figure).
- 1% of the landless tenants and small owners benefited.

1977 Land Reform Features

- A ceiling of 100 acres of irrigated and 200 acres of unirrigated land.
- Permanent ownership to occupants.
- Compensation was paid (Rs. 30/ per PIU)
- Agricultural Income Tax to replace the land revenue. The irrigated land of 25 acres or less, and the un-irrigated land of 50 acres or less were exempted.

Analysis

Land reforms were always **controversial.** It was argued that they were **un-Islamic** and that they violate the right to own, use and enjoy property as protected by the constitution. The reforms did not yield the **expected** results due to variety of reasons.

CRITICAL ISSUES IN AGRICULTURE SECTOR OF PAKISTAN

Introduction

Story of Agriculture

- Process of change
- Nature of Change

VU Academic Consultant 03222254114

How social and economic relations have changed over time?

ISSUES

- Agriculture Price Policy
- Agricultural Credit
- Mechanization
- Agriculture Income tax
- The water Crisis
- Land Reforms

Issues related to Agriculture Price Policy

Government can play critical role in determining

what, and

how much to produce through pricing policy?

A good agricultural pricing policy can be defined as one which can act as an incentive to produce certain goods in required quantities.

National Commission of Agriculture report 1988;

- Low food grain prices
- Export duties on cotton
- Fixed prices of wheat and rice
- Inter-districts and inter-provinces restrictions
- Low prices of vegetable ghee
- Agriculture commodity import

An extensive structure of agricultural **input subsidies** was evolved covering; (1960's,1970's)

- Fertilizers
- Seeds
- Plant protection

VU Academic Consultant 03222254114

- Tube wells
- machinery

Agriculture suffered from output price policies and large farmers get most out of input price subsidies.

Issues related to Agricultural Credit

- Formal sources of credit
  - Complex procedures
  - Limited access
- Informal sources of credit
  - Simpler
  - Flexible (little collateral)

Issues related to Mechanization

Already Discus in Green Revolution

Issues related to Agriculture Income tax

Taxation is an Economic and Political Issues

Economic → Revenue collection to manage budget.

Political → some lobbies resist and some demand taxation.

Analysis

- Large number of direct, indirect and hidden taxes
- Agricultural income rises (Population and input cost rises)
- Higher taxation → less saving for investment in agriculture
- Agricultural income rises → more area under cultivation

Issues related to The Water Crises

- Key factor behind success of green revolution was sufficient water availability but Pakistan's irrigation system has deteriorated with time and result is 'Water Crises'.

VU Academic Consultant 03222254114

- Pakistan does not have adequate reservoir capacity
- Canal water causing water logging and salinity
- No proper drainage system with irrigation infrastructure
- Inequality of power
- Insufficient maintenance of irrigation system

Issues related to Land Reforms

Already discuss in Land Reforms.

VU Academic Consultant 03222254114

MODULE 3
INDUSTRIAL SECTOR OF PAKISTAN

Introduction

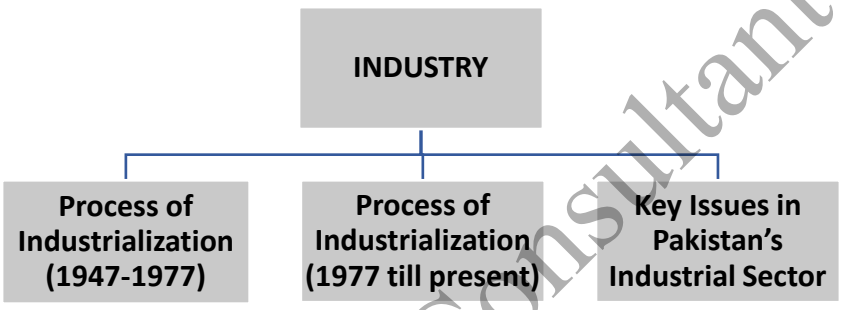
Generally, Industrialization implies "Growth and Development".

At the time of independence, Pakistan had no industries to speak of, no industrial raw material, no significant industrial or commercial groups.

By the mid 1960's, Pakistan was considered model developing country with phenomenal industrial growth.

During 1951 to 1955, the manufacturing sector grew annually at **34%**. (One of the highest growth rates witnessed in the world).

Outline



PROCESS OF INDUSTRIALIZATION (1947-1977)

THREE PHASES

1. First phase is period 1947-58
2. Second phase is 1958-1968
3. Third phase is 1969-1977

First phase is period 1947-58

Industrial Policy of April 1948

Features:

- Extreme industrial backwardness
- No jute mill (with 75% of worlds jute production)

VU Academic Consultant 03222254114

- Few textile mills (Huge cotton production)
- Pakistan blessed with considerable economic resources

1949-1958 → Growth rate of industry in Pakistan was most rapid in the world. (Large scale manufacturing growth 23.6% between 1949-1954)

1950's → Establishment and expansion of large-scale manufacturing sector.

Economic development and Investment Tools in the first decade:

- The impact of Exchange Rate
- The Trade Policy Regime
- Import Substitution Industrialization

The impact of Exchange Rate

- September 1949, Pound sterling, currencies of numerous countries as well as India were devalued. But Pakistan did not follow.

To,

- ✓ Announce the world Pakistan's independent economic policy
- ✓ Sell raw material (jute) at higher price and import machinery at lower price

- Pakistan government imposed some controls on imports and exports to manage trade.
- India suspended trade with Pakistan in September 1949.

As a consequence, Pakistan;

- ✓ Either devalue the currency
- ✓ Find alternative market3

- Due to Korean war Pakistan make spectacular profits on its exports.
- 1952, The price of cotton and Jute fell but government decided not to devalue. Instead, government put physical controls on imports and exports.

The decision NOT to Devalue currency started Pakistan on the road to industrial and economic development.

VU Academic Consultant 03222254114

The Trade Policy Regime

Analysis;

- Collapse of Korean Boom (1952)
- Fall in export prices
- Balance of payment deteriorated
- Controls and restrictions were imposed on trade

Pakistan's Trade Policy aspects;

- Overvaluation of rupee
- Use of quantitative controls on imports
- Highly differentiated structure of tariffs on imports and export taxes

Import Substitution Industrialization

The exchange rate and trade policies adopted by Pakistan leads to Import Substitution Industrialization.

Protective Policy:

- Produce anything that reasonably can be produced
- Ban on import of domestically produced goods

Import Substitution Industrialization

Due to Highest protection (consumer goods) → Import substitution progressed easily and rapidly.

Imports of capital goods & non-agricultural industrial goods only, government played major role in determining the nature and structure of industry.

Second phase period 1958-68

Economic policies of the *first decade* initiated an era of industrial growth and development. This laid the **foundation** for the decade of development between *1958-1968*. Growth rates in large scale

- Manufacturing
- Agriculture

VU Academic Consultant 03222254114

- GDP

showed astonishing trends over the ten years between 1958-1968.

Examine the nature of development through;

- Growth rates
- Policies pursued
- Consequences of policies

Growth Rates

High growth rates in large scale manufacturing continued in the first few years of this decade (growth rate around 17% annual). Even after 1965, manufacturing sector growth remained above 10%.

Trade Policies

1. Many controls on trade were disbanded.
2. New trade policy 1959 shifted away from direct controls to indirect controls
3. Export Bonus scheme (EBS) launched in 1959.
4. Import Licensing scheme replaced with Open General License (OGL) in 1961.
5. Introduction of "Free List" scheme.
6. Focus on Import liberalization.
7. New Import controls introduced

Analysis

- Import liberalization would not have been possible without increase in foreign aid.
- Export Bonus scheme compensated overvalued exchange rate and boosted export.
- Due to overvalued exchange rate, it became cheaper to import machinery.

Consequences

VU Academic Consultant 03222254114

- Impact of EBS, import licensing and liberalization strategy was considered "Dramatic" on Industrial Development.
- Large Scale manufacturing growth increased from 8% (1955-60) to 17% (1960-65).
- In 1965, Pakistan's manufactured exports were greater than the combined manufactured exports of south Korea, Turkey, Thailand and Indonesia.

Conclusion

Foreign Aid ↑ → Imports ↓

Both industrial production and investment responded well to liberalization of imports.

Export Bonus Scheme (EBS) encouraged the export of manufactured goods.

Third phase period 1969-77

Last phase ends with rise in inter regional disparities and income inequalities particularly between East and West Pakistan.

New democratic government inherited new Pakistan defeated in war by India in December 1971.

Analysis

- Socialism concept was responsible for dismal growth rates and highest rates of Inflation.
- Bad Economics and poor policies were responsible for poor economic performance
- Many 'bad luck factors' also causes played a critical role in causing economy to grow at below trend rates.

Major steps / Economic Policies

- Nationalization of all basic industries and financial institutions. Nationalization policy has three aspects;
    1. All those means of production that are generators of industrial advancement must be taken in public hands

VU Academic Consultant 03222254114

2. All enterprises of national economy infrastructure must be in public ownership.
3. Institutions dealing with medium of exchange (banking and insurance) must be nationalized.

- The party's promises to urban organized labor were fulfilled within six months of coming to power through the labor reforms (1972).
- Devaluation of Pakistani rupee by 131 percent.
- Banking reforms May 1972, State Bank of Pakistan extends controls over scheduled banks.
- Export Bonus Scheme (EBS) was abandoned.

Bad Luck Factors

- August 1973 → Massive floods hit Pakistan
- October 1973 → Increase in international petroleum prices
- World recession as a result of OPEC price rise
- Huge failure of cotton crop (25%)
- 1976-77 → Worst floods in Pakistan's History

Consequences of factors

- Nationalization measures results out to complete reversal of public and private investment. (In 1974/75 Private sector investment was only 15 % of its level in 1970 while public sector investment rose to 75% from only 5% in the same time period).
- Private sector had lost all trust in government.
- Inflation reaches to peak level due to oil price rise.
- Oil price rise wiped out positive balance of trade (gains from devaluation).
- Floods and pest attacks damaged crops severely.
- Failure of cotton crop 1974/75.

Critical Review

VU Academic Consultant 03222254114

- Generally economic performance remains poor /economic stagnation
- Lack of fiscal and monetary discipline;
    - High budget deficit
    - Monetary growth and inflation
- Period of domestic and international turmoil

It was more external (Bad luck) factors than Bad management which resulted the poor economic growth rates.

PROCESS OF INDUSTRIALIZATION (1977 till present)

Introduction

Last Era was characterized by poor policies, bad management and various bad luck factors which results into overall poor performance of the economy. This Era started in 1977 with the military rule in the country.

Fourth phase period 1977-88

Features

- Pakistan's manufacturing sector became more capital intensive between 1975-1986.
- There is little employment growth in almost all industries between 1975-1986.
- 1980's has been a period of relatively high growth in manufacturing.
- This time period has the first ever industrial policy, formulated and executed.
- Overall performance of the economy in this period was phenomenal.

Analysis

- Change in government in 1977 brings a change in industrial strategy.
- Most important concern of the government was to restore private sector confidence and motivation in order to revive investment in industry.
- Government made the decision that the private sector was to play the leading role in the industrial sector.

VU Academic Consultant 03222254114

Steps taken

- Sep 1977, Denationalization of number of agro based industries.
- Dec 1977, number of basic and heavy chemical and cement industries were opened to private sector.
- March 1978, Tax holidays and incentives to encourage industrial activity in the less developed regions of country.
- June 1978, Export rebates were given.
- Fifth five-year plan 1978/79 was launched (third & fourth plan were lost)
- Return of assets seized and nationalized in the last regime.
- Sixth five-year plan 1983-88 marks the process of deregulation and liberalization.
- A 'negative list' was introduced to encourage foreign trade.
- Manufactured exports were given rebates, import facilities, income tax concessions to encourage exports.
- Distinguishing measure of this government was Islamization (Islamic laws were enacted, commissions formed and economy was brought under Islamic laws and principles).

On the whole the manufacturing sector in Pakistan has recorded impressive growth rates during the 1977-88 period.

The Age of Structural Adjustment 1988 Onwards

Introduction

The political and economic background of the role that the **IMF and world bank** began to play in Pakistan's economy after 1988 through Structural Adjustment program.

Seventh five-year plan (1988-93) under the instructions of IMF and World bank set ambitious targets for **overall reforms in industrial sector.**

Industrial sector Reforms

- Further Deregulation

VU Academic Consultant 03222254114

- Liberalizing the economy
- Privatization
- Tariff Reforms
- Regulation of foreign Investment

Under the three-year agreement (1988-1991) with the IMF, the industrial policy outlined. Some points are as follows;

- Deregulating business decisions
- Enhancing export incentives
- Reducing level of protection
- Reducing the list of restricted imports
- Divesting the shares of public sector companies to private sector

Industrial sector Reforms Review

- The world bank in its review program (1991) felt that economy responded well to policy reforms.
- Progress in implementing structural reforms to promote private sector activity has been exceptional.
- Manufacturing sector managed impressive 7.4% growth (1991).
- World bank and IMF have concluded that three-year structural adjustment program (1993) went well especially in industrial sector.

Industrial sector in 1990's

- Manufacturing sector growth rate fell from 8.21% average annual to 4.8% average in 1990's.
- In 1996-97 industrial sector growth was minus 0.1 %.
- 1999-2000 industrial sector growth was only 1.5%.
- Industrial sector in 1990's only reconfirmed the deteriorating condition of the industry in the country.

Analysis of Industrial sector in 1990's

VU Academic Consultant 03222254114

- All the governments relying on private sector to lead Pakistan on higher levels of industrial development.
- It's not surprising the public investment reduced.
- Disturbing fact is that the private investment (as a percentage of GDP) also fell.
- But public investment was higher 9.2% (as a percentage of GDP) than private investment 7.8% (as a percentage of GDP).

Industrial sector in 2000's

- Most of the investment and manufacturing indicators improved substantially after 1990's.
- Both total investment and fixed investment grew at higher rates.
- Main motor of investment was private sector with almost three times higher as much as public investment (12.6% as compared to only 4.8%)
- This trend marks a very clear shift in the dynamics of investment in Pakistan.

Summary

- Industrial sector has suffered since neo-liberal structural adjustment program was initiated in 1988.
- It was only after 9/11 that growth rates in the industrial sector, in investment, and of the economy picked up.
- Growth and investment in Pakistan depend on **incentives** to the private sector and on supportive **conditions** in which private sector is willing to invest.

Key Issues in Industry in Pakistan

- Trends in Industrial sector
- The Small-Scale Manufacturing Sector
- The Textile Industry
- Public Sector Industry

VU Academic Consultant 03222254114

- The Privatization Process
- Efficiency in Industrial Structure
- The Energy Crisis

Trends in Industrial sector

- No industrial base in the beginning
- 1950's Extraordinary industrial growth rate
- 1960's Large Scale Manufacturing shows exceptional growth
- 1970's Substantial reduction in Industrial growth
- 1980's Impressive annual average growth in manufacturing
- 1990's growth in industry again fell down
- 2000's revival in industrial growth after 9/11

Trends in Industrial sector

- The industrial and manufacturing growth of Pakistan witnessed roller coaster
- boom / bust trend throughout the time.
- Population increases in this time but employment in formal manufacturing sector did not increase.
- Small scale sector grew in 1980's, captured the increase in labor force.

The Small-Scale Manufacturing Sector

- Small scale sector plays an increasingly important role in Pakistan's economy.
- In urban manufacturing sector 98% of the manufacturing units were small scale unregistered firms.
- Employment elasticity in the small-scale sector is amongst the highest in all the sectors.

Issues affecting Small Scale Sector

VU Academic Consultant 03222254114

- State policy has been very biased in favor of the large-scale manufacturing sector, whereas small scale sector was treated with contempt.
- State played no real role in explicitly promoting the small-scale sector.
- Banking sector was also unhelpful and discouraging to small scale informal units.
- With regard to utilities provided to large scale manufacturing, the small-scale sector was treated with "hands off" policy.

The Textile Industry

- The textile sector holds a very important position in Pakistan's economy in terms of;
    - Employment
    - Value-added
    - Contribution of this sector towards exports
- Highest manufacturing value added (26%) 2005/06.
- One third (1/3rd) of the entire manufactured employment in textile.

Issues in the Textile Industry

- Textile was highly concentrated amongst few industrial houses.
- Number of installed spindles has been growing, whereas the percentage of working spindles has been lower than 1950's and 1960's.
- Only 66% of installed capacity is being utilized in the loom sector (number of working looms is one fifth of that in the 1950's and 1960's).
- Negative productivity in the textile and garment sector is the result of fragmentation of the industry from large scale to small scale units.

Public Sector Industry

- Role of the government has been reduced
- Public sector enterprises are;
    - Inefficient

VU Academic Consultant 03222254114

- Costly to run
- Poor performers
- Drain on exchequer

Public Sector Industry

- Pakistan Industrial Development Corporation (PIDC) established in 1952 played very important role in fulfilling its objectives. Its role was leading the private sector in industrialization.
- In 1972-77 the role of the public sector was considerably expanded. By 1977 government was involved in finance, manufacture, transport & communication, construction, energy etc.
- After 1977 the role of the public sector began to diminish.
- Public sector enterprises besides responding to pure market criteria have social and political responsibilities and motives.
- Public sector industries performed far better than the overall manufacturing sector during 1972-77.
- The efficiency levels across industries are independent of the locus of ownership.
- By 1990 much has been changed in public policy after Structural Adjustment Program.

The Privatization Process

- The disinvestment and deregulation committee were established in 1990 to identify the units for privatization.
- This committee identified 109 industrial units & four out of five nationalized banks to be privatized at earliest opportunity.
- The privatization commission replaced this committee in 1991, with the following functions;
    - Valuation of public enterprises
    - Implementation of the bidding process
    - Supervision of the transfer of the units to private sector.

VU Academic Consultant 03222254114

- Since privatization program was corner stone of government's economic policy, so it improved its legal and administrative procedures.
- But this privatization process was severely criticized;
  - Lack of transparency / Corruption
  - Incorrect bid evaluation process
  - Inadequate attention to new management
  - Favoritism, as the units transferred to the management with no previous experience
  - Inconsistency in process

Public and private investments are essentially **complementary** in nature; and that while private investment holds the greatest promise in areas of productive efficiency, its success depends on public investment which provides an efficient infrastructure.

The Energy Crises

- An important factor having its impact on industrial sector as well as on economy as a whole is energy crisis in Pakistan.
- The ongoing energy crises has crippled Pakistan's industry and economy. It is hitting the industry at multiple levels;
  - Energy tariff increases
  - Un announced load shedding
  - Voltage fluctuations
  - Unavailability harms productivity of workers

The Energy Crises Reasons

- Growing gap between the rising demand and supply of energy
- Rising burden of circular debt
- Lack of maintenance
- Line losses (power theft)

VU Academic Consultant 03222254114

- Billions of rupees of unpaid bills
- Inappropriate energy generation mix

The Energy Crises consequences

- In industrial cities such as Karachi, Lahore, Gujranwala and Faisalabad, thousands of units have shut down or are operating at the bare minimum level.
- Energy crises resulted in huge capital flight (investments have shifted elsewhere).
- Loss of thousands of jobs due to reduced industrial and commercial activities.

VU Academic Consultant 03222254114

MODULE 4

PUBLIC FINANCE AND FISCAL POLICY

STRUCTURE OF THE GOVERNMENT

Major function of the government is to Tax the people.

↓

This collected revenue is used for;

- Running of the government
- Provision of Law and Order
- Defense of the country
- Infrastructure
- Social development

✓ A well-defined constitutional frame work determines the nature of resource mobilization and the responsibilities of each of the different tiers of government.

✓ It has undergone changes time to time.

✓ Radical changes after 7th NFC awards and 18th amendment in 2010.

NATIONAL FINANCE COMMISSION (NFC)

- It is a body constituted by president of Pakistan to divide the revenue sharing formula for divisible pool of resources to be made available from federal to the provincial governments.
- NFC is supposed to announce an award every five years, based on which divisible pool is determined.

Two major hallmark developments;

- NFC awards came into force on July 2010 for a period of five years and it enhances significantly the share of provinces in the federal divisible pool.
- The 18th amendment to the constitution of Pakistan. With this, the concurrent list of the constitution stands abolished, devolving the functions to the provincial government.

VU Academic Consultant 03222254114

The federation of Pakistan is governed by the constitution of Pakistan and all its amendments thereafter. In this context functions of the government are defined as per following tiers of government.

- Federal Government
- Provincial Government
- Local Government

FEDERAL GOVERNMENT FUNCTIONS

- Regulatory functions
- Service functions
    - Defense
    - External Affairs
    - Currency
    - Stock Exchanges
    - National Highways
    - Roads & Railways

CONCURRENT LEGISLATIVE LIST INCLUDES FOLLOWING FUNCTIONS

- Social welfare
- Population planning
- Tourism
- Education

(These functions to be performed by federal or provincial government, or both)

RESIDUAL FUNCTIONS

- Agricultural extension
- Irrigation
- Justice

VU Academic Consultant 03222254114

- Police
- (These were primarily the responsibility of Provincial Government)

Existence of local governments was not a formal part of constitution.

↓

Local governments were extension of provincial governments.

↓

District government system was implemented in 2001.

↓

Under this system, the districts continued to rely on federal transfer.

- Local governments had been expected to keep their revenues and resources in check.
- To self-finance their expenditures

While,

- Provincial governments were given free hand by the federal government.

STRUCTURE OF THE TAXATION

State institutions involved in the taxation system

- Legislative
- Executive
- Judiciary

LEGISLATIVE:

It is done in parliament, to impose different taxes such as;

- Income tax Act of 1922, Income tax ordinance 1979 and Income tax ordinance 2001
- Sales Tax Act 1990
- Federal Excise Act 2005
- Etc.

VU Academic Consultant 03222254114

EXECUTIVE

These are tax authorities to administer taxes with efficiency and effectiveness.

- Finance minister and finance secretary
- Federal board of revenue (FBR)

(These authorities appoint subordinates, makes rules, issue notifications etc.)

JUDICIARY

- Its role is to interpret the laws to ensure fair implementation of them.

(Its members are appointed by federal government)

Prior to 18th amendments, Federal government used to collect taxes & duties as per federal legislative list.

↓

Provincial governments had delegated some of their legislative functions to local government.

↓

Local governments collected residual taxes that provincial government did not collect.

↓

Provincial governments collected taxes that the federal government did not collect.

According to 1973constitution, almost all the major taxes with real revenue potential, were with federal government.

↓

Although

↓

After the 18th amendment there has been change in this structure.

SOURCES OF REVENUE RECEIPTS OF GOVERNMENT

- Proceeds from taxation

VU Academic Consultant 03222254114

- Net revenue of commercial departments
- Interest on loans (by the federal government)
- Return on Investment (by the federal government)
- Receipts by administrative ministries (of federal government)
- Surcharges on petroleum and natural gas
- Dividends

FEDERAL GOVERNMENT REVENUE RECEIPTS

- Tax revenue
    - Direct taxes
    - Indirect taxes
- Non tax revenue

TAX REVENUE

- Direct taxes

(Income tax, capital value tax, worker's welfare tax, etc.)

- Indirect taxes

(Sales tax, Customs, Federal excise, etc.)

NON-TAX REVENUE

State banks profit, dividends from OGDCL, profits from Pakistan telecommunication authority, PSO etc.

Prior to 18th amendment and the 7th NFC awards, about 90-93% of resources were generated at federal level whereas only 7% by the provinces.

Issue of resource mobilization / taxation;

- Provincial level
- Federal level

Key systems and problems of federal tax system;

- Low and stagnant tax to GDP ratio

VU Academic Consultant 03222254114

- Stagnant around 11 to 12 percent
- Major reason behind high budget deficit
- Over dependence on indirect taxes
- Almost 80% share in revenue
- Higher excess burden of taxation
- More indirect taxes on international trade
- It has promoted inefficiency
- Encouraged unlawful trade
- Wide range of exemptions, concessions and tax evasion.
- Less than 60% imports actually pay duty.
- Consequently, tax rates are pitched high.
- Taxation has complex laws and procedures.
- The common perception is one of high-level corruption.

Prior to 1st structural adjustment program (1988), world bank identified two issues;

- Resource mobilization
- Budget deficit

The world bank report argued;

- Pakistan's Tax base needs to be strengthened to increase resource mobilization.
- There is need to increase the share of direct taxes in total tax revenue.
- There is need to change the structure in case of indirect taxes.
- There is need to cut excessive number of exemptions.

Situation prior to 18th amendment and NFC award;

- 90% of the revenue was collected at federal level.
- 10% revenue through local and provincial government.

VU Academic Consultant 03222254114

- Delivery of social services (such as education, health, water supply and sanitation etc.) lies with provincial and local government.
- Provincial government deficit financing filled through grants-in-aid or loans by federal government.
- Provincial government access resources from divisible pool of federal taxes for recurring accounts.

1991 NFC awards;

- Federal government stopped such payments to provincial governments.
- Rather,
- There was greater pressure on provincial governments to self-finance their expenditures.

Problems in provincial resource mobilization structure 2010 (identified by Aisha Ghaus and Asif Iqbal)

- Limited scope of resource mobilization
- Poor tax administration

Provincial government unable to exploit the;

- Agriculture income tax
- Tax on value added in services sector
- Capital gains on immovable property
- Low growth in Tax revenue due to low elasticity of provincial taxes.
- No greater fiscal effort by provinces (due to access to revenue deficit grants from provincial governments)

Change in provincial governments resource mobilization strategy (since 1991 NFC awards)

Provincial governments adopted "diversified resource mobilization strategy" by;

- Removing exemptions
- Focusing most on existing taxes

VU Academic Consultant 03222254114

- Expanding the tax net

Consequently,

→ There was considerable increase in provincial tax revenue.

- Investigation by government agencies confirmed that there are hundreds of thousands of multi-millionaires in Pakistan who enjoy luxurious lifestyles but don't pay tax.
- There is strong interest group behind every tax concession or exemption.
- FBR expects to fetch good revenue through amnesty scheme.

DEBTS AND DEFICITS

Fiscal / Budget deficit

- The difference between total revenue and total expenditure of the government is fiscal deficit.
- It is an indication of the total borrowings needed by the government.
- Among all other economic issues, fiscal deficit is most talked in developing and developed countries.
- According to world bank and IMF fiscal deficit is single most important policy variables that effects the rest of the economy.
- The importance of fiscal deficit is even higher in case of developing countries.
- There is general consensus that large current deficits are not sustainable.
- Direct policy action is required to tackle deficit problem.

Consequences of Deficit

- Debt problem
- Inflation
- Foreign dependence
- Discourage investment
- Decrease in spending on important social services

VU Academic Consultant 03222254114

- Etc.
- Fiscal deficits have strong implications.
- Many observers found strong relationship between the deficits and many macroeconomic performance variables.

In fact,

- The relationship between deficits and other macroeconomic variables depends on the source of deficit financing.

Two main sources of deficit financing;

- Domestic borrowing
- External borrowing

In case of Pakistan, it has been argued;

- Fiscal deficit is cause behind most other economic problems of the country.
- Debt is also termed as very serious problems of the economy.

Pakistan is having enormous pressure on its limited fiscal resources due to serious domestic economic problems.

Any effort for restoring our economy has "elimination of deficit" as first points on its agenda.

International financial institutions also stress over solution to the problems of fiscal deficit.

DEBT a burden?

- One view is that one should "not" borrow as the present generations will get benefit by using services provided currently and future generations will have to pay the cost.
- Second view is that there will be greater intergenerational equity by borrowing now and passing part of the cost of capital outlay to future.
- Hence "deficit" and "debt" whether burden or not being decided by the manner, in which public debt is spent.

VU Academic Consultant 03222254114

- USA world's largest debtor nation shows growth despite rising deficits and debts.
- In case of Pakistan, deficits grew due to excessive non-developmental expenditures and large tax cuts, hence the debt becomes the burden over future generations.

PAKISTAN'S FISCAL DEFICIT

Critical Concerns Regarding Pakistan's Fiscal Deficit

Structural adjustment program (1988-2013) identified reduction of fiscal deficit as the key component and most other measures revolve around this objective.

World bank constantly emphasized the importance of debt reduction in Pakistan.

During 1980's, world bank mentioned that Pakistan's long-term growth is at stake due to its large deficits (8% of GDP)

Main features of Pakistan's Fiscal Deficit

1. Deficit in budget (expenditure exceeds revenue)
2. High growth in current expenditure (total revenue is not sufficient to meet even current expenditure of the budget)
3. Defense expenditure (although it has been falling in recent years but defense expenditure used to be higher than developmental expenditure)
4. Interest payments (more than half of the annual expenditure is taken up by defense and interest payments)
5. Source of debt (Domestic debt is higher than the foreign debt)
6. Domestic debt (Domestic debt is higher than the foreign debt, main source is non-bank borrowing)

Trends in Fiscal Deficit

1980's → around 8% of GDP

1990's → around 7% of GDP

2000's → around 4.5% of GDP

2010 → around 6.2% of GDP

VU Academic Consultant 03222254114

2016 → around 4.6% of GDP

According to IMF Deficit in Pakistan is responsible for;

- Growing Inflation
- Crowding out of private investment
- Falling growth rate
- Current account deficit

Views of IMF and World bank (1980 – 1997)

- Fiscal deficits were quite high than international standards.
- Deficits in Pakistan have been quite gentle.
- Country's macroeconomic performance has been good
- Inflation in Pakistan also performed well
- Even economic growth of the country was better

According to IMF and World bank, Pakistan's fiscal deficit must be brought down to sustainable level for long term macroeconomic development.

Sustainable Deficit

A deficit level that permits an acceptable level of economic expansion while ensuring price stability and debt accumulation with reasonable debt servicing ratio.

The figure which is considered to be sustainable is 4% of the GDP.

CRITICAL CONCERNS

- Issue of spending and redistribution
- Patterns of Defense spending
    - Defense spending was lower in military regime than democracy.
- Concerns regarding developmental expenditure.
- Underreported and informal economy (GDP is under reported as much as 40%)
- Budget deficit relates to the role and distribution of public expenditure

Governance Issue

VU Academic Consultant 03222254114

- Rampant corruption at all levels.
- Misuse of tax payers money.
- Unfair use of political power.
- Generally, the conventional economists and advisers of international agencies concludes that fiscal deficit in unwanted and bad for the economy.
- According to them it's the most important statistic to analyse the health of the economy.
- Fiscal deficit has been perceived continuing problem in Pakistan.
- Fiscal policy is considered critical failure in case of Pakistan.

THE DOMESTIC AND FOREIGN DEBT CRISES

- Pakistan has been taking significant amounts of domestic and foreign debt to finance its budget and current account deficits.
- And to support major energy and infrastructure development projects as part of China Pakistan Economic Corridor (CPEC)
- Over one-third of this public debt is external debt denominated in US dollars, Euros and other hard currencies.
- Pakistan's total debt and liabilities (TDL) consist of public debt and private debt.
- Total stock of outstanding debt and liabilities on June 30, 2017 stood at 79% of GDP.
- Gross public debt accounted for 85% of the total outstanding (67.2% of GDP)
- Remaining 15% is the private debt mostly to borrowers outside the country.

Total debt and liabilities are made up of borrowings in Rupees from SBP, banks, National saving schemes, prize bonds, sukuk etc.

Borrowings in foreign currency, from multilateral institutions such as the World bank, ADB, bilateral countries or international financial markets.

Three types of Domestic Debt

VU Academic Consultant 03222254114

- Floating debt
- Unfunded debt
- Permanent debt

FLOATING DEBT

- Short term
- Cash credit & Treasury Bills
- Commercial bank and State Bank.

UNFUNDED DEBT

- Medium term
- General public
- National saving scheme instruments

PERMANENT DEBT

- Long term
- Insurance companies & commercial banks
- Maturity between 7 to 20 years

It is said that Pakistan's debt problem arises in 1980's when government was spending far more money than it was receiving.

Nominal public debt grew from around Rs. 155 billion to Rs. 802 billion in 1990's.

But while deficit & accumulated debt was high the growth was impressive.

It was 1996-1999 when public debt rose very sharply…515% of government revenues to 625%.

REASONS & CONSEQUENCES

Reasons;

- Fallen Growth
- Falling Revenues

VU Academic Consultant 03222254114

- Frequent change in government

CONSEQUENCES;

- Difficulty in debt servicing
- Higher interest rates (20% p.a)

DEBT CRISES

- 1980's development expenditure was 40% of total government spending.
- 1990's domestic debt crises.
- 2000's development expenditure declined to 13% of total government spending.
- "The increase in the share of interest payments has come at the cost of development
- Pakistan faced serious crises of debt at both fronts i.e. domestic and foreign.
- In Jan 2000 debt reduction and management committee (DRMC) was formed.
- The committee released a report called debt reduction and management strategy (DRMS).

Debt reduction and management strategy (DRMS)

- Causes of excessive debt
- Solution and possibilities for alleviating debt

Reasons for High debt (DRMS)

- Persistent and large deficit
- Large current account deficit
- Stagnant and declining government revenues in real terms
- Stagnant and declining exports
- Rising cost of borrowing
- Careless and waste full use of borrowed resources

VU Academic Consultant 03222254114

- According to DRMS report it was current account balance of payment which was unsustainable and caused both types of debt to accumulate.
- During 1990's
- Current account balance was 4.8% of GDP on average and rises to 6%.
- Decline in foreign exchange earnings (decline in exports and remittances)
- Devaluation of rupee

FOREIGN AID

- Pakistan receiving considerable foreign aid to contribute in growth and poverty reduction.

But

- Foreign aid inflow is used to finance consumption
- As a result, savings declined "No contribution in growth"

PRINCIPAL FACTORS BEHIND PAKISTAN'S HIGH DEBT (SAKIB SHERANI)

- Declining national savings
- Lack of fiscal discipline
- Declining tax revenue (as %age of GDP) 1990's & 2000's.
  - Political interference
  - Weak institutions

CONCLUSION

- Debt servicing is eating away revenues for development and other expenditures.
- Pakistan (unlike other countries) had the problem of domestic and external debt both (1990).
- Reforms and Structural Adjustment had an important role to aggravate this crisis.

VU Academic Consultant 03222254114

VU Academic Consultant 03222254114

MODULE 5

MONETARY POLICY AND MONETARY MANAGEMENT

FINANCIAL SECTOR

INTRODUCTION

An important component of economic policy of the country is to develop dynamic domestic financial sector to channelize domestic savings into potential investment for economic development and growth of the country.

Our financial sector consists of;

- Commercial banks
- Microfinance banks
- Development finance institutions
- Insurance companies

Development of Banking Sector

At the time of partition;

- No central bank
- In the areas of Pakistan (east & west) only 213 functioning branches of scheduled banks exists whereas, united India had 3496 branches.
- After partition, State bank of Pakistan began operations on 1st July 1948.

State bank of Pakistan (SBP) was assigned;

- Note issuing authority
- Establishment of a banking system

In the first 18 months after SBP establishment;

- 51 new branches were opened in Pakistan
- 28 branches of Pakistani banks
- Commercial banks were asked to extend their areas of operations

VU Academic Consultant 03222254114

According to SBP, banks deposits growth was impressive (61%) during 1948-54, due to;

- Economic revival and industrial development
- Consolidation of banking system
- Inflow of capital from other muslin countries
- Favorable balance of payment

Nationalization of Banking sector;

- Bank nationalization ordinance was promulgated in 1974.
- The federal government had exclusive rights of ownership, management and control of all the banks in country.
- Shareholders were compensated with federal bonds repayable.

Nationalization of banks fulfilled some socio-economic objectives such as opening of new branches in every township almost.

Nationalized banks under political influence gets overstaffed and overcrowded.

ISLAMIC FINANCING

- In September 1977, council of Islamic ideology (CII) was asked to develop the blue print for an interest free economic system.
- CII recommends removal of interest from domestic financial institutions
- Government (1979) announced the intentions to remove the interest from the economy with in three years.

1981

All five nationalized banks set up separate counters for interest free profit and loss sharing deposits.

Three Islamic modes of financing were launched;

- Musharakah
- Mudarabah
- Muarhabah

VU Academic Consultant 03222254114

Development after structural adjustment program 1988;

- Numerous dramatic changes
- Liberalization and denationalization
- Opening up of the sector

MONETARY POLICY

- Monetary policy has serious implications for economic development of country
- It is concerned with the regulation of the quantity, cost and allocation of money and credit in the country.
- It determines the allocation of the resources in different sectors.

State bank of Pakistan was granted considerable autonomy to determine the interest rate and make decisions.

However,

It has been criticized that decision are taken with non-technical factors due to;

- Political pressure
- Other considerations

Prior to financial sector reforms of 1991

- National credit consultative council (NCCC) was established in 1972, under banking sector reforms.
    - Distribution of credit
- NCCC become the government main source of monetary policy management.
- Govt. debt management program was considered
    - Poorly managed
    - Highly unorganized
- An annual credit plan was devised each year the determine the extent of monetary expansion and allocation of credit.

VU Academic Consultant 03222254114

- The main mechanism of monitory management was the control of the volume, cost and allocation of credit (1972-1991)
- Financial sector has undergone an major transformation since 1991.
- Reforms under Financial Sector Adjustment loan(FSAL) and various structure adjustment programs have changed the nature of our fiscal, financial & monetary sector.
- IMF and World Bank suggested a drastic restructuring of the financial system due to numerous problems.

MONETARY MANAGEMENT

According to IMF monetary management through quantitative methods results in "inefficiency" and "misallocation of resources"

So,

It suggested shift to market-based management of monetary policy.

REFORMS

- Removal of distortion and segmentation
- Determination of market-based interest rate.
- Allocation of credit in response to market forces.
- Development of secondary market for Govt. securities.
- Increasing autonomy and accountability of national banks.
- Allowing private banks to enter the market.
- Improving supervision of all financial institutions.

MEASURES TAKEN

- Full-fledged system of auctioning government debt started in 1991.
- System of credit ceiling was discontinued in July 1992.
- Open market operations became the major instrument of monetary management from January 1995
- Removal of maximum lending rate.

VU Academic Consultant 03222254114

The main objective of the Govt. has been to establish a market determined money market as per the advice of IMF and World Bank.

Instruments of primary and secondary market are traded to regulate money, credit and interest rate.

So many reforms have taken place since 1992

- Opening of banking sector to private sector
- Decontrol of interest rate from government intervention
- Expansion of financial sector
- Improvement in the services of financial institutions
- Greater reliance on market forces of monetary management

BUT

The united nation economic and social commission for Asia and the pacific (UNESCAP) has criticized the imposition of structural adjustment programs in the region.

Some possible consequences as per report

- Increased reliance on market mechanism is not complete solution of market failure.
- Possibility of greater macro-economic instability by opening of capital market.
- Banking industry in third world has generally oligopolistic structure
- Emerging banking and financial institution in private sector cater the need of mostly urban sector.

Analysis as per report

- Reforms should ultimately have positive impact on the real economy.
- The performance of financial sector is directly related to the level of country's development.
- The actual role of financial sector is keep low cost of borrowing for financial resources, while encouraging savings.

VU Academic Consultant 03222254114

Reforms have helped a lot to banking sector for increasing their profits and credit expansion.

Nevertheless,

At least two areas still lack reforms;

- Interest is still controlled.
- A secondary market… market-oriented money market has not fully developed.

MONETARY EXPANSION

Total Monetary Assets;

- M1 consists of currency in circulation and demand deposit
- M2 consist of M1 plus saving deposits
- M3 consist of M2 plus time deposits

Trends in monetary expansion

- Domestic credit expanded a great deal between 1993 to 1998, in which private sector took a lead
- Government budgetary borrowing has also grown too much

1980's

- Shifts from time deposits to national saving schemes for better return.
- Consequently,
- Decline in bank deposit ratio.

INFLATION TRENDS

Pakistan publishes four different price indices

- Consumer Price index (CPI)
- Whole sale Price Index (WPI)
- Sensitive Price index (SPI)
- GDP deflator

VU Academic Consultant 03222254114

1961-1988

- Real money balances have contributed to the acceleration of inflation (Akhtar Hussain)
- Whereas, govt expenditure financial led by bonds have negatively affected to inflation growth.
- Moreover, irresponsible polices of the govt. also added to inflation late 80's
- 1990'S (double digit inflation)
- Pasha et al. examined all the reasons advanced by various scholars and classify the key policy variables in their empirical examination has demand management policies.

Supply Shocks

- If there is crop failure due to external or weather factor results in less supply of commodities and stimulate inflation
- Monetary policy
- Increase in money supply due to budget deficit will push the prices

Rise in international prices

↓

High tariffs

↓

Devaluation

=

Domestic prices rise

- Pricing policy
- High procurement prices
- Prices of utilities

Tax Policy

- Rise in tax rates (Sales, Excise etc.)

VU Academic Consultant 03222254114

- Expectations

Expectation of the people regarding inflation behavior in future have key consequences on actual inflation rate.

1990's (Key factors explaining inflation in Pakistan)

- Procurement prices of wheat
- Administered prices of Fuel, Gas and Electricity
- Rise in indirect taxes
- Devaluation of Pakistani rupee
- Decline in inflation after 1998
- Aggregate Demand decreased
    - Nuclear Test
    - Military Government
    - Incident of 9/11

External factors

- Inflation since 2007/8
- Chronic inflation
- Double digit inflation (comparing with other countries of the region)
- Stuck near about 20% p.a
- Oil prices raise in international market
    - Global recession
- Food price rise in international market
    - Global diversion of food stuff from consumption to production of biofuels
    - Low production due to climate change and other factors
- Support prices of wheat and Rice
- Floods of 2010 and 2011

VU Academic Consultant 03222254114

- Reduced supply of food stuff and hence impact on prices

Analysis

- Besides the external & domestic factors for this high inflation there is strong factor of mismanagement on the part of government due to domestic political factors.
- Structural Adjustment Program (IMF & World Bank) also contributed to recent years high inflation

LOW SAVINGS RATE

Pakistan's national savings rate is quite low as compared to other comparable economies where it is around 20%.

Our savings rate remains volatile over the time.

1970's …savings rate 11.2%.

1980's…. savings rate 14.8%

Fall again in 1990's …rise again 2000s.

Low savings rate is our basic structural macroeconomic problem.

Sources;

- Households
- Private enterprise sectors
- Government savings

TWO schools of thought;

- Financial Repression School
- Financial Structure School

According to Financial Repression School, main obstacle to savings;

- Low or negative real interest rate
- Variable inflation rate

According to Financial Structure school;

VU Academic Consultant 03222254114

Underdeveloped countries use to have lack of depth and breadth in the financial sector.

- Few financial assets
- Few institutions

In case of Pakistan's low savings rate and its probable causes, both school of thought supported.

Generally, increase in real interest rate will stimulate aggregate savings.

More financial development will increase savings rate.

In 2004,

Low rate of Inflation

Low /negative real interest rate

Results

Increased people borrowing and speculation in stock market and real estate market.

In 2008-2012

High inflation rate

Low interest rate

Results

Fall in savings

- The low savings rate in Pakistan is the big hindrance to economic expansion of the country.
- Several studies have been conducted in Pakistan to investigate the factors behind low savings rate in the country.
- These analyses quoted variety of complicated reasons for this low savings rate in Pakistan.

Research Studies

- "As income increases, savings will also increase" (Siddique & Siddique)

VU Academic Consultant 03222254114

- "There is a strong negative effect of dependency ratio on savings" (zafar Iqbal)
- "Foreign financial inflows may discourage domestic public/private saving behavior and resource mobilization effects" (Shabbir & Mahmood"
- "Foreign capital outflows and foreign interest rate have a "strong negative" effect on household savings" (Zafar Iqbal)

Why the savings rate in Pakistan is very low

- Real rate of return on financial assets
- Lack of use of formal financial institutions
- Foreign financial inflow (foreign aid & foreign capital)
- Inflation & uncertainty
- Access to financial institutions and instruments

Access to finance survey

- According to study only half of the population saves in formal financial institutions.
- 14.9% savers go to formal financial institutions.
- Around 63.6 % people save at home.
- Main purpose of saving is not investment but consumption smoothing.
- After examining large number of causative factors for low savings rate, both schools of thought do not provide adequate explanation.
- Cultural factors too explain low savings rate in country.

VU Academic Consultant 03222254114

MODULE 6

BALANCE OF PAYMENT AND TRADE REGIMES

PAKISTAN'S FOREIGN TRADE

Pakistan has bilateral and multi-lateral trade agreements with many nations and international organizations.

- Member of the world trade organization.
- The south Asian free trade area agreements.
- China – Pakistan free trade agreement.
- World demand for our exports fluctuates
- Domestic political uncertainty
- Occasional droughts on its agricultural production.

Results

- Variation in Pakistan's trade deficit.
- Pakistan's foreign trade is held responsible for gross inefficiencies in industrial structure (1960s).
- Import taxes constitute more than half of total government revenue.
- Trade policy plays a critical role in the development of a country.

This Highlights the importance of trade policy.

- How trade policy in different regimes have affected the course of development.
- How our trade patterns have evolved over time.

In 1948/49

Major trading partners;

India & UK

67% of our trade

East Pakistan 80%

West Pakistan 50%

India

India's share in trade was high

VU Academic Consultant 03222254114

56% of exports to India

Dependence on India for exports and imports reduced a decade later

Direction of trade changes

1949

Pound sterling devalued (31%)

Pakistan decided to maintain its old exchange rate

Expensive exports

India refused to accept new exchange rate

Pakistan imposed some quantitative controls on imports and exports

1950

Korea War (lasted for 2 years)

Increased exports demand (109%)

Increased prices

Consequently,

Balance of payment position improved

Trade with India restored

June 1951

Trade was much liberalized

That

85% of the imports were without license (open general license system)

1952

Korean Boom collapses

Government re-imposed trade and foreign exchanges controls

According to Asian development Bank study

Policy of High tariff walls and stringent quantitative controls on imports

VU Academic Consultant 03222254114

Most important cause of

Rapid growth rate in Manufacturing / Industrialization.

During 1960's

Direct emphasis on manufactured exports promotion

Export bonus scheme (exporting industries)

Additional license (importing raw materials)

Export oriented industries got higher entitlement in license

Export Bonus scheme (1959)

It was necessarily a floating exchange rate for exports.

This scheme provided exchange rates to exporters of manufactured goods more favorable than the official rate.

Asian development Bank listed important features of the trade regime;

- Re-structuring the system of direct import controls (1958)
- Export Bonus Scheme (1959)
- Expansion of open general license system
- Automatic licensing scheme (1961)
- Introduction of the free list (1964)

Liberalization of Imports

Open general License

1961	11 commodities
1964	51 commodities

Free List

1964	4 commodities
1966	50 Commodities

Imports liberalization

- Total imports increased much more than exports
- Composition of imports shifted towards capital goods and intermediate goods

VU Academic Consultant 03222254114

- Big rise on import duties to reduce excess import demand
- Change on economic policy and shifts from direct to indirect controls
- Increased flexibility in import trade due to new devices in licensing scheme
- Export Bonus Scheme
- Positive effect on exports
- Compensated overvalued exchange rate
- Manufactured goods exports increased
- Easier import of raw material & machinery due to domestic demand
- Generous Import Policy
- Critically Linked
- Large amount of foreign aid (6% of GDP)
- More than 40% of the imports were paid from foreign aid.

ANALYSIS

- High rate of industrial growth due to trade regime
- Bonus voucher scheme was most important component
- Export expansion and import substitution both supported
- But after 1965 War
- Liberalization process reversed
- Due to shortage of foreign exchange
- Free list reduced from 66 items (1964) to 14 items (1968)

New Governments Trade Policy (1972-1977)

- Democratic government took control of country in December 1971.
- It's a new country constitutes of west Pakistan only.
- East Pakistan has become independent "Bangladesh "
- Trade regime totally changed from 1950s and 1960s.

TRADE BEFORE SEPARATION OF EAST PAKISTAN

- Half of the west Pakistan's exports went to east Pakistan
- 18% western region's imports come from east Pakistan.

VU Academic Consultant 03222254114

- Half of the Pakistan's export earnings were from jute and tea from east wing.
- Pakistan was able to import from its own exports earnings.

MEASURES

- Devaluation of Rupee
- May 1972, government abolishes;

  Import licensing scheme

  Export bonus scheme

  Multiple exchange rate system

FEATURES

- Pakistan lacked a formal, organized export policy with clear objectives and procedures (for more than five years).
- Only devaluation was the main source of encouraging exports.
- Government collected additional revenue by export taxes.
- Concessionary credit facilities were available for exporters.
- Export boom was temporary due to;
- Sequence of bad crops due to natural factors affecting
- Cotton & rice crops
- Oil price rise in 1974 results in;
- Affecting oil and fertilizer imports
- worsening balance of payment

Conclusion

- Only positive outcome for Pakistan was a sequence of oil price boom.
- Pakistan gained in terms of labor and commodity exports to new middle east markets.
- Remittances reached to about US$3 billion in 1980s.

VU Academic Consultant 03222254114

- Transformed the social structure of economy.

Trade Regimes Liberal Trade 1977-1988

Government started to liberalize the trade, particularly imports;

- Reducing number of banned products
- Removal of non-tariff barriers
- Items increased on "free list"

  91 new items added

- Procedure for importing commodities organized

Government started to liberalize the trade, particularly imports;

- Removal of explicit import quotas (non-capital imports)
- Import licensing value ceiling was reduced (from 406 to 5 consumer goods)
- Previously banned and restricted imports were liberalized
- World bank report over trade policy of 1980's
- Pakistan's import regime reached its most restrictive level
- (41% domestic industrial value added was protected)
- Results;
- Trade policies still seems to be biased in favor of import substitution.

EXPORT PROMOTION MEASURES

- Export Rebates
- Concessionary credit for exports
- Income tax facilities for exporters
- Import facilities for exporters
- Introduction of flexible exchange rate
- (Delinking of Pakistani rupee from dollar)

TRADE LIBERALIZATION UNDER STRUCTURAL ADJUSTMENT 1988 ONWARDS

VU Academic Consultant 03222254114

Objectives for Trade policy

- Improving tariff structure
- Reducing number of banned items
- Better set of export incentives
- Import licensing streamlined

MEASURES FOR TRADE POLICY

- Import duty reduced
- Tariff rates decreased
- Duty rates on raw material reduced
- Reduction of banned commodities list
- Replacement of non-tariff barriers to Tariff barriers

First structural Adjustment Program 1988

Government was committed for extensive changes in trade policies/Regime.

ANALYSIS

Resident Pakistanis could open foreign currency deposit accounts (1991)

Import licensing abolished except for commodities on “negative List” (1991)

Number of important steps were taken on the bases of Structural adjustment program (1993)

WORLD BANK STATED

Since 1990’s foreign exchange inflow into FCD’s have significantly helped Pakistan.

Inflows in FCD’s were as large (75%) as Pakistan's total capital account balance.

Government of Pakistan should extend these trade policy measures particularly with reference to trade taxation (end of 1st structural adjustment program)

CONCLUSION

- The formation of world trade organization (WTO) 1995
- Results the change in the international trade environment.
- Most of the trade reforms undertaken during 1988-1995.

VU Academic Consultant 03222254114

- From mid-1990's and after, WTO there has not been significant reforms in Pakistan's trade sector.

Foreign Exchange Rate and World Trade Organization

Foreign Exchange Rate

- Exchange rate has played important critical role in the initial fifty years of Pakistan's existence.
- In 10949, Pakistan government made conscious decision of "non-devaluation".
- Resultantly, Pakistan faced serious crises on exchange rate front, which added to numerous other crises of that era.

FEATURES OF FORIGN EXCHANGE REGIME IN PAKISTAN

- Initially Pakistani Rupee was linked to pound sterling.
- Later, USA became more dominant across the globe so dollar became the key currency.
- Pakistan did not devalue in 1949.
- It did not devalue in 1952 as well.

FEATURES OF FORIGN EXCHANGE REGIME IN PAKISTAN

- Entire development decade has been criticized for maintaining multiple exchange rate
- Nominal exchange rate of Pakistani rupee was changed twice (Devaluation)
- 30% in 1956
- 58% in 1972
- Feb 1973, Pakistani rupee was revalued by 10% due to devaluation of US dollar.

CONCLUSION

- Rupee has continuously lost its value against foreign currencies.
- It's not the best way to increase exports.
- Structural factors are more important;

VU Academic Consultant 03222254114

- better quality products
- credit
- Infrastructure
- The net result of falling rupee is highly negative.

WTO AND GLOBALIZATION

World Trade Organization (WTO)

- An intergovernmental organization which regulates international trade.
- Commenced on 1st Jan 1995.
- Signed by 124 nations on 15th April 1994.
- Replacing the General Agreements on Tariffs and Trade (GATT)

GLOBALIZATION

- Globalization refers to the widening and deepening of international trade flows.
- Trade of capital, technology and information in the global market.
- Smooth flows of trade and information will increase human welfare and growth.
- Multinational organizations like IMF, World bank and UN have taken the lead to advance the agenda.
- The international financial institutions (IFIs) have established an institutional framework for a process of development and free international trade.
- These IFIs play major role in shaping macroeconomic and social decisions regarding the economic structure and living standards of the nations.
- Their officials decide about government spending, development strategies and other aspects bypassing the electoral system of countries.
- There are countries which have restricted the role of IFIs while still being major players and beneficiaries of globalization.
- What seems to play important role in this regard;

VU Academic Consultant 03222254114

Active and political civil society

Strong nationalistic leadership.

- Key instrument of globalization is trade.
- East Asian countries prospered on account of globalization includes China, India etc.
- The countries with following features benefitted more from globalization;

  Less corrupt

  More democratic

  More peaceful

  Highly skilled and educated labor force
- Pakistan economy has significant positive and negative impacts of globalization.
- Pakistan has implemented the provisions of world trade organization (WTO) guidelines and agreements.
- To improve market access, countries were required to;

  Reduce tariff

  Remove quotas

  Eliminate subsidies on exports
- Pakistan's 60% exports constitute of textiles.
- Jan 1995, WTO agreement on textiles and clothing (ATC) came into force.
- The essence of ATC principal was to remove all quantitative restrictions by industrial countries on imports of textiles and clothing from all countries.
- It allows for greater access to exports from developing countries, bringing an era of global competition.
- According to WTO rules, government cannot intervene to discourage exports of cotton, yarn, or fabrics or provide subsidies to garments and made-up exports.

VU Academic Consultant 03222254114

- All Pakistan textile manufacturers association (APTMA) argued that unrestricted cotton export would deprive spinning industry and increase production cost.

Two arguments after quota free world of WTO (2005)

- Pakistan's main exports, textiles would get huge boost.
- Pakistan will lose as quota free regime meant increased competition.
- Policy makers warned that globalization and further expansion of WTO rules would have negative impacts over Pakistani exports.
- There has not been much research on the impacts of WTO rules after 2005.
- But impressions suggests that impacts may not have been as disturbing as expected.
- Pakistan’s textile exports have expanded.
- Imports have certainly increased including consumer goods, Industrial raw material and petroleum products.
- Tariff and quantitative restrictions have been eliminated under WTO regime.
- New forms of non-tariff barriers have been imposed. Including;
- sanitary and environmental standards
- social barriers such as child labor
- Pakistan’s exports fail to diversify while other countries have shifted to higher value-added products.

SUMMARY

- Pakistan’s trade regime has been moving towards less and less controls, tariffs and hence openness.

However,

- Policy makers have overlooked that while removing of structural weaknesses would help boosting exports.
- More than the supply side incentives.

VU Academic Consultant 03222254114

MODULE 7

STRUCTURAL ADJUSTMENT PROGRAMMES (SAP)

Structural adjustment programs (SAPs) consist of loans (structural adjustment loans; SALs) provided by the International Monetary. Fund (IMF) and the World Bank (WB) to countries that experience economic crises.

Recipient country must follow a series of economic reforms known as a structural adjustment programmed in order to obtain a loan from the World Bank or the International Monetary Fund. Generally, structural changes involve a package of economic measures, such as cutting government spending and promoting free trade etc.

There is a widespread perception in developing nations that the International Monetary Fund and the World Bank control global economic policy, particularly in developing nations, and shape it to serve their own interests.

Structural Adjustment Loans

In 1970's,

IMF & World bank used to play smallest role in economic development of

many developing countries. They used to provide loans on;

- ✓ Careful country analysis
- ✓ Stringent conditions

IMF Loans;

- ✓ Improving the balance of Payment

World Bank Loans;

- ✓ Specific projects and sectors

Structural Adjustment Loans to Structural Adjustment Programmes

In the 1970's, IMF & the World Bank used to play a smaller though important role in the economic development of many developing countries. They used to provide loans which were based careful country analysis and had stringent conditions attached to them. The focus of the IMF was essentially on improving the balance of

VU Academic Consultant 03222254114

payment problem while the World bank was more focused in specific projects and sectors.

World bank loans were usually made with projects in mind rather than issue related to more general workings of the macro-economy. By the mid 1970's commercial banks offering easy credit terms often on few or no per-conditions, replaced the IMF as a main source of credit. The rise of western banks as credit providers took place following the huge oil price rises in 1972 & 1979 when oil rich countries deposited their Petro-dollars in international banks. These dollars were than recycled to developing countries, particularly to Latin American countries. The extent of this transformation was enormous: In 1971, 60% of developing countries debt was owed to official lenders, while in 1981 commercial banks constituted as much as 70%.

This foreign money was lent on easy terms and had a negative real rate of interest. It fueled extensive often luxury, consumption in most developing countries, where elite benefited most. These developing countries had meanwhile accumulated substantial amounts of foreign debt. While interest rates were low and commercial banks were ready to lend, governments in developing countries and in the advanced countries were not very concerned about the accumulating debt.

By the early 1980', the picture was very clear: almost without exception, developing countries were struggling to repay the debts they had so eagerly acquired during the 1970s. In order to repay the part of their debt, or more importantly, the huge interest, government spending priorities had to change. As a consequence, internal investment and social expenditure began to fall. In order to avert political unrest, many governments were compelled to maintain current spending, especially for public sector employment, at the same time having to cut the capital spending dramatically.

The IMF's initial approach to loan under structural adjustment umbrella had two essential components.

- ✓ Stabilization of country's macroeconomic situation
- ✓ Improve overall economic efficiency and promote growth

The IMF continued to give priority to short term loan support to economies where the primary focus was demand constraint measures and currency valuation.

The World bank focused on sectoral loans and on restructuring economies through institutional and policy reform in the medium term to stimulate medium term supply response.

Structural Adjustment Programmes: Composition

VU Academic Consultant 03222254114

Following are the main Directions of the Structural Adjustment Programmes (SAPs);

- ✓ Improving balance of payment position
- ✓ Cutting the fiscal deficit
- ✓ Loweing Inflation
- ✓ Increasing growth

6 main areas of Structural Adjustment Programme policies;

1. Trade Policy
2. Fiscal Policy
3. Public Enterprise Policy
4. Financial Sector Policy
5. Industrial Policy
6. Agriculture Policy

1. Trade Policy

Countries are advised to adopt following measures;

- ✓ Consistent depreciation of the currency to keep real exchange rate competitive.
- ✓ Lifting of restrictions on exports
- ✓ Decrease in quantitative restrictions on imports
- ✓ Reduction in tariffs

Summing up, the economy should follow an outward oriented export-led path and domestic and international prices should be brought in line with each other.

2. Fiscal Policy

A- Reduction and elimination of fiscal deficits;

- ✓ Curtailing public expenditure
- ✓ Increasing prices in public sector

VU Academic Consultant 03222254114

B- Tax system to be reformed

C- Energy and agriculture subsidies to be substantially cut or eliminated

3. Public Enterprise Policy

Public enterprises are to be reformed to improve efficiency and profitability.

(Performance of public enterprises should be brought in line with private enterprises)

4. Financial Sector Policy

- Institutions are to be restructured to facilitate resource mobilization and to reflect costs.
- Interest rate ceilings are to be relaxed.
- Time deposit & lending rates are to be liberalized

5. Industrial Policy

- To remove protection to make it competitive internationally
- Price controls over goods to be removed
- Export oriented industries to be promoted and encouraged

6. Agriculture Policy

- Agriculture prices to be liberalized
- Agriculture subsidies to be discontinued

SAP: Composition Summary

The purpose of the structural adjustment programme is to reduce the budget deficit by raising some prices and eliminating subsidies, decreasing government spending, and devaluing the currency, which is intended to boost exports and improve the balance of payments.

SAPs: Implementation and Effects

A large number of studies look at the macroeconomic effects of Fund

supported adjustment programmes.

Mohsin Khan of the IMF concludes as follows;

VU Academic Consultant 03222254114

- In some cases, Balance of Payment improves
- Inflation is usually not brought down
- Generally, a fall in the growth rate

World bank studies argues that the countries which carried out major adjustments have performed better on average. World Bank concludes that stringent fiscal adjustment of Structural Adjustment Programme has following impact;

- Decline in public investment which leads to serious infrastructure bottlenecks
- Fall in investment and growth
- To cut the budget deficit is to reduce in results in cut in government expenditure
- Debt service payments rose sharply (due to increase in interest rate and devaluation of the domestic currency)

Reduction in import tariffs and trade liberalization results in deindustrialization because usually in low-income countries the industrial firms do not have managerial and technical capacity to be able to stand up to increase imports and greater openness (due to international competitiveness).

Devaluation results in widening the gap between

fiscal deficit and current account deficit

↓

This led to cut in private investment and growth

↓

Often accompanied by higher inflation

The influence of structural adjustment programmes on aggregate investment is almost everywhere negative.

Severe criticism of the structural adjustment programmes of IMF / World Bank has been directed at their welfare consequences.

VU Academic Consultant 03222254114

Severe economic austerity measures particularly reduction/ removal of subsidies (on food, public transport, energy, water etc.) leaves negative effects on the poor (curtailing the purchasing power) and results in social unrest.

The World Bank and International Monetary Fund (IMF) began to realize that the rise in the poverty has been on account of stringent conditionality imposed on borrowing countries.

Implementation of SAP in Pakistan

Since 1988, Pakistan's adherence to the structural adjustment initiatives funded by the IMF and World Bank has had a significant impact on the country's economic policies, management, and performance.

The policy actions taken by the various governments in power since the implementation of the 1988 programme, closely follows the details in the policy framework papers, which specify the actions a government must take after signing a programme for structural adjustment or, more recently, in 2008, a document outlining a stand-by arrangement. Such agreements and programmes are only terminated when the government in Pakistan is unable to fulfill its obligations and commitment to the fund.

1988 Structural Adjustment Programme

Structural Adjustment program document (1988) goes to minute details on almost every account for stringent conditionalities. For example, it requires the deregulation of bus fares, adjustment of power tariffs, gas prices charged to domestic household consumers, water and sewerage tariffs, taxes, fees, and user charges roads, rail, ports and aviation.

Three main areas under which reforms were to take place (Structural

Adjustment Program);

1. Fiscal Policy
2. Foreign Trade Policy
3. Financial Sector

SAP: Achievements and Failure

IMF and World Bank determine the success or failure of a SAP by the extent and degree of the deviation from their given targets.

VU Academic Consultant 03222254114

Following were the main targets of Structural Adjustment program (1988);

- ✓ A strong growth performance (above 5.5 %)
- ✓ Increase in investment and efficiency in investment
- ✓ Import liberalization

A brief summary of the extent of reforms

1- Fiscal Policy

According to IMF / World bank the SAP was weakest in the implementation of fiscal policy. Most quantitative targets were not met;

- ✓ Tax revenue (as %age of GDP) remained stagnant
- ✓ Reduction / exemptions in tax concessions was limited
- ✓ Debt to GDP ratio was failed to improve
- ✓ External debt increased

2- Trade and Balance of Payments

Following were stepwise measures;

- ✓ Reduction in maximum tariff rates
- ✓ Elimination of non-tariff barriers
- ✓ Abolition of import licenses

Trade liberalization imports of goods & services as well as exports.

3- Financial Sector

- ✓ Resident Pakistanis Pakistani residents were allowed to open foreign currency accounts.
- ✓ Two state owned banks (Muslim commercial Bank & Allied Bank limited) were sold to private sector.
- ✓ Liberalization of regulations for domestic and foreign investment.
- ✓ Full-fledged auction of government debt was initiated.
- ✓ Rate of return on six-month treasury bills rose from 6% to 13%.

VU Academic Consultant 03222254114

4- Liberalization and Privatization

Following sectors were opened to private sector;

- ✓ Power generation
- ✓ Commercial & Investment banking
- ✓ Air & Sea Transport

5- Other Areas

- ✓ Agriculture sector performance improved significantly (due to improved technology & attractive incentive)
- ✓ Subsidies on pesticides, seeds, and agriculture machinery were eliminated
- ✓ Industrial value added grew during SAP of 1988
- ✓ Private sector gross fixed capital formation expanded

Overall Evaluation of SAP

According to the World Bank;

- ✓ Performance during the adjustment period has been strong in GDP, export growth and in structural reforms to encourage private sector economic activity.
- ✓ It has been weaker in sustained reduction in fiscal deficit & in improving external sector balances.

Although extensive reforms have taken place in most sectors, including trade, liberalization & the financial sector. Following four key economic indicators do not show a significant improvement.

I. GDP growth rate
II. Budget deficit as a percentage of GDP
III. Current account deficit as a percentage of GDP
IV. Inflation rate

So, it would be difficult to conclude that programme has been a success.

Political Economy of SAP

VU Academic Consultant 03222254114

The general preposition as a reason for structural adjustment loan by the countries is, that their countries are in a bad economic state. They are told

their structural problems, such as;

- ✓ Balance of payment in critical deficit
- ✓ Budget deficit is high
- ✓ Inflation is rampant
- ✓ Growth rate of the economy is low

Pakistan's economy was in fairly good shape when structural adjustment programme (SAP) was initiated. Overall growth performance of Pakistan has been good even when first SAP was started in early 1980's, the main economic indicators show very decent trend. Pakistan had never been in such a critical condition though, ironically, may have gotten there on account of following these programmes.

The IMF & World Bank argues that those countries that have done well on their economic agendas have had their own programmes before IMF &

World bank involvement. Two such examples are;

I. Thailand

II. South Korea

IMF & World bank accept the premise that their structural adjustment programmes re-structure a country's political economy.

Critical question is whether the government needs to run to the IMF every three years and accept the consequences of conditionality?

If a government is forced to go to the IMF, the lender of last resort, it is only because it has not been able or unwilling to take immediate and important steps itself.

For instance, two areas of critical concerns;

- ❖ Low resource mobilization
- ❖ Excessively high expenditure

VU Academic Consultant 03222254114

Clearly, it is not IMF that is responsible for either of these shortcomings, but rather the inability of various governments to tackle these structural concerns.

Instead of better management & governance, government rush to the IMF for financial assistance.

VU Academic Consultant 03222254114

MODULE 8

SOCIAL SECTORS OF PAKISTAN

HEALTH AND POVERTY

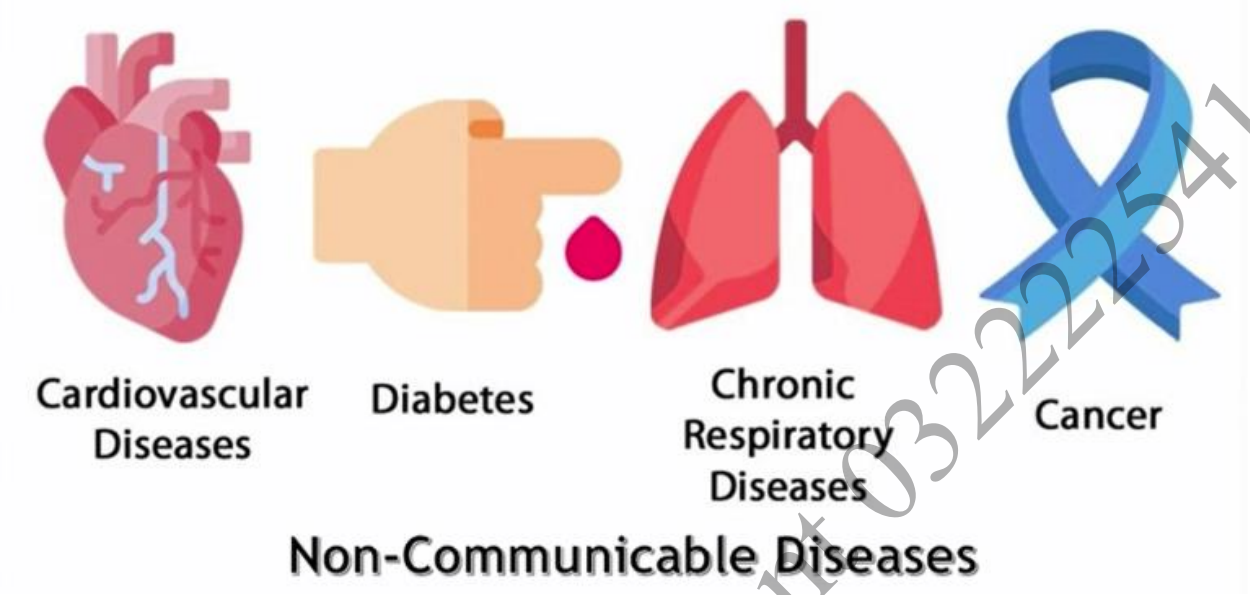
- Ill health and extreme poverty have a direct relation with each other in developing countries.
- Ill health can cause poverty and vice versa.
- It is important to understand the causes, issues, and interventions of social services regarding health.
- Provision of clean drinking water, education, maternal health, and women empowerment.
- A lot of research has been made on poverty, its issues and consequences but limited work have been done on the health sector.
- A lot of research on medical care or clinical care but limited on health care.
- The health-poverty relationship is indisputable, but many corners are unexplored in this context.
- An important goal of MDGs.
- Insufficient data available on health and disease.
- Data in the social sector of Pakistan is inadequate and of poor quality.
- This chapter covers the close link between ill health and poverty.

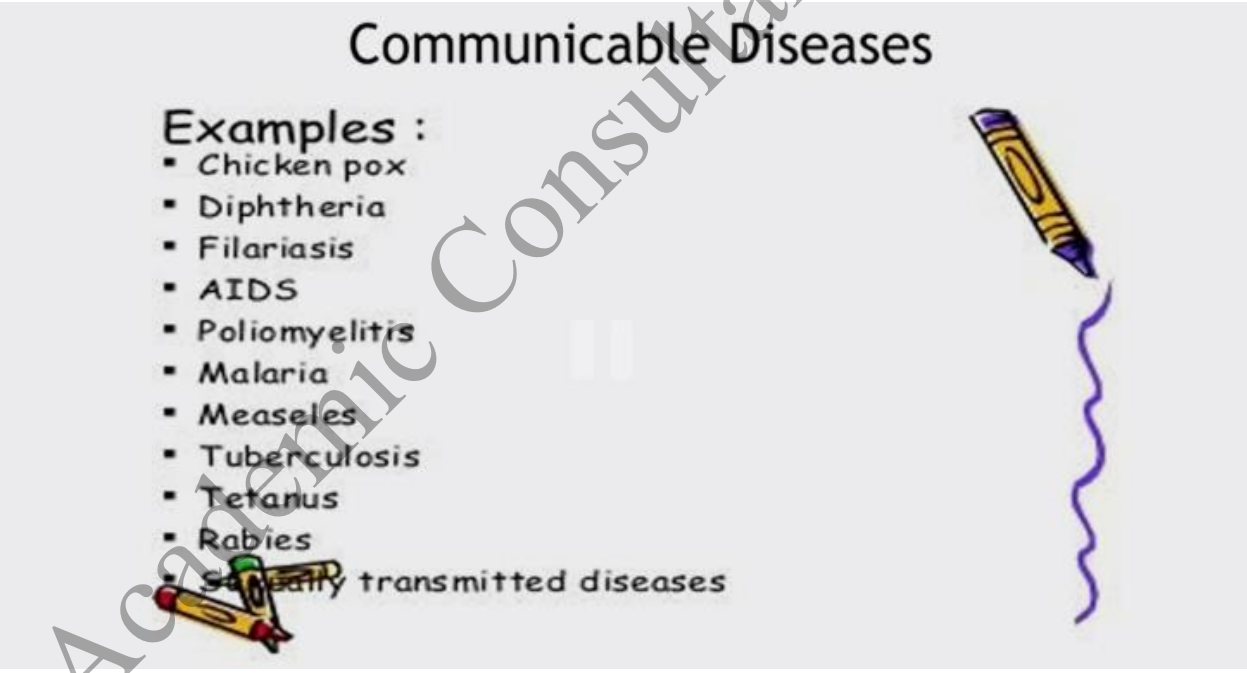
EXAMINING HEALTH DATA: HEALTH STATUS, HEALTH SPENDING, THE POOR.

- Pakistan's health profile is typical for poor income countries where poverty-related diseases abound and malnutrition and maternal risk worsen the situation.
- Life Expectancy in Pakistan has risen from 54% in 1978 to 61% in 2014, still below comparable standards.
- Infant mortality rate has also fallen from 120 to 83. The text extracted from the image is as follows:
- Child mortality rate has fallen from 140 to 100 in 30 years due to alarming malnutrition situation.
- 25% of children are of low birth weight.
- 24% of births are attended by skilled health professionals.

VU Academic Consultant 03222254114

- These statistics indicate a poor health profile in Pakistan.
- Gender discrimination is also in a worse condition.





- Most of Pakistan's health problems are related to poverty and communicable diseases.
- Communicable diseases account for 38% of the total burden of disease, with infectious and parasitic diseases having the largest share.
- Non-communicable diseases contribute to 37% of life lost, with cardiovascular diseases making up 10% of this share.
- Diarrhea, lower respiratory tract infections, tuberculosis (TB), and malaria are the main diseases contributing to early mortality in Pakistan.

VU Academic Consultant 03222254114

INTERNATIONAL COMPARISON OF HEALTH

	Life Exp	Infant MR	Pop Growth	Access to water	Public Health %of GDP
Pakistan	61	84	2.4	90	0.9
Vietnam	69	30	1.3	77	1.4
Bangladesh	61	51	1.8	97	1.5
India	64	67	1.3	84	0.9
Nigeria	52	110	2.3	62	0.5
China	71	31	0.6	75	2.0
Sri Lanka	73	17	0.7	77	1.8

EXAMINING THE HEALTH DATA

- Unlike literacy rate or the primary enrollment rates that indicate the state of education, there is no indicator in the health sector to capture a full picture of health status.
- Life expectancy at birth, along with literacy rate and gross enrollment rate, is the only indicator in the UN's Human Development Index.
- These measures suggest the well-being of the population, neither are the indicators of ill-health or disease.

ROLE OF GOVERNMENT IN THE CONTROL OF COMMUNICABLE DISEASES

- A dividing line emerges when we check the provision of preventive care and immunization services.
- The market-driven profit-oriented factor is not involved in preventive measures.
- Private sector is not involved in the provision of health services and immunization services.

NATIONAL HEALTH POLICY 2001

VU Academic Consultant 03222254114

- Ministry of Health, provides an agenda for health sector reforms in Dec 2001.
- Govt policy based on following features:
- Health sector investments were to be part of the government's poverty alleviation plan.
- Primary and secondary sectors were to get priority attention over tertiary care.
- Good governance was a pillar on which quality care was to be achieved.

Considering these broad goals, 10 areas of reforms were identified:

- Reduction of communicable diseases including TB, malaria, Hepatitis-B, AIDS.
- To address deficiencies in primary and secondary health care level, trained lady health workers were to be utilized to cover the unserved population.
- Devolution plan was to be used to improve quality of services and care provided by district health officers at district level."
- To promote gender equality in the health sector, reproductive health services were to be provided to childbearing women at doorsteps.
- Nutrition supplements were to be provided to the target population.
- Greater link between teaching hospitals and district-level health facilities was enhanced.
- Better regulations were devised for the private medical sector to improve standards and service.
- Greater awareness was to be created among the public regarding public health issues.
- The pharmaceutical sector was to be improved for better quality of affordable drugs.
- A policy analysis and Research Unit was to be set up in the Ministry of Health.
- Health policy target each area for ten-year focus.
- In May 2003, Ministry of Health published its progress on Agenda for health sector reforms.
    - Vaccines have been received
    - Lady health workers trained
    - Contraceptives distributed
- The core focus of government health and population welfare sector rested on support and strengthening of LHW program, EPI program, and strengthening of institutions.

VU Academic Consultant 03222254114

EDUCATION

Statistics:

- One of the important statistics is the literacy rate, which is a proxy of other indicators as well.
- It is included in the Human Development Index (HDI).
- Pakistan's literacy rate was the lowest among countries with a Gross National Product (GNP) per capita close to the level countries.

HOW IS LITERACY IN PAKISTAN?

- The literacy rate measures the percentage of people aged 15 and above who are able to read and write.
- In 2019, Pakistan's total literacy rate was around 58 percent, with less than 46.49 percent of women being literate and more than 69.29 percent of men.
- Female literacy rate was very poor.
- In Karachi the literacy rate was 55% in 1981 and was only 8.2% in Baluchistan.
- Rural literacy rate for women is less than 1% in Baluchistan, possibly lowest in the world.
- Data from Social Policy and Development Centre (SPDC) Annual report 2011/12 shows that gross enrolment rate at primary level of country was 92% and was 69% in 1992/3.

LITERACY RATE IN PAKISTAN 1951-2019

Year	Total	Male	Female
1951	13.2	17.0	8.6
1961	18.4	26.9	8.2
1972	21.7	30.2	11.6
1981	26.2	35.0	16.0
1990	34.9	45.1	20.9
2000	47.1	59.0	35.4
2012	58.0	70.0	47.0
2019/20	58.0	69.29	69.29

- But it was the fact that boys are more encouraged to attend the school.

VU Academic Consultant 03222254114

- SPDC provides a number of explanations for downward literacy trend.
- Fell in the expenditures on literacy in Punjab and NWFP and grow in both Sindh and Baluchistan.
- In 1990's poverty level rises from 17% in late 80's to 33% at the end of 1990s.
- School enrollment rises as income rises

THE ISSUES

- Before Independence main objective of the education system as designed by British were to attain sufficient level govt employees and westernizing the culture.
- These objectives are served by separating local-language-medium schools for the masses from English medium schools for elite.
- After independence compulsion of economic and social development have changed the pattern of available employment opportunities.
- Economy's requirement for large variety of skills and knowledge and equity in income and access to income earning opportunities are rising.
- In 1970s some attempts were made to change the nature and orientation of the education system.
- 1972 Bhutto nationalized all private schools in urban areas.
- In 1968 11% of schools and 35% of colleges were in the private sector.
- In 1972 govt nationalized 3067 schools, 155 colleges, and 5 technical institutes.
- The impact of nationalization was severe; from 1972-79, the share of private schools fell.
- Zia reversed the policy and allowed the private sector to open new schools and permitted some schools to denationalize themselves.
- As the government is not able to cater to the growing needs in education, the private sector is playing its role and has developed into a large business where demand is greater than supply.
- The government should encourage the efforts of the private sector but also develop checks and balances to ensure the standard of facilities.
- Pakistan still has a lot of ghost schools.
- High dropout rates are alarming, affecting the availability of skilled labor.

Drop out takes place for a number of reasons:

VU Academic Consultant 03222254114

- Low economic development
- Extensive and widespread poverty
- Existence of child labor
- Opportunity cost of being in school is high
- Costly reading material
- Poor motivation among parents to retain their children in school
- Persistent negative attitude towards formal education

CURRENT SITUATION OF LITERACY IN PAKISTAN

- The current literacy rate of Pakistan is 62.3 which means that an estimated population of 60 million is illiterate in the country.
- In 2019, Pakistan's total literacy rate was around 58 percent, with less than 46.49 percent of women being literate and more than 69.29 percent of men.
- Currently, Pakistan has the world's second-highest number of out-of-school children (OOSC) with an estimated 22.8 million children aged 5-16 not attending school, representing 44 per cent of the total population in this age group.

PAKISTAN'S RANK IN EDUCATION

- The World Economic Forum calculates 130 countries in the world for the human capital report 2017.
- In that list, Pakistan stands at the 125th position with a worse education system.
- From South Asian countries, only Sri Lanka comes in the top 100 list.
- Sri Lanka is ranked 70th.
- Nepal's rank stands at 98.
- India is on the 103rd rank.

GENERAL PROBLEMS:

- Adequate budget
- Lack of policy implementation
- Defective examination system
- Poor physical facilities
- Lack of teacher quality
- Lack of implementation of education policies
- Directionless education

VU Academic Consultant 03222254114

- Low enrollment
- High scale dropouts
- Political

REGIONAL INEQUALITIES: DISTRICTS AND PROVINCES

- For a country that has lost more than half of its people - chosen to become independent - because they were discriminated (1971)
- Economic, Social, and political imbalances between regions are serious issues.
- The economic policies that favored west Pakistan at the expense of East Pakistan resulting in economic growth pre- 1971
- Economists and Politicians in the 1960s argued that much development in the west wing was due to the extraction of surplus from East Pakistan and this surplus was reinvested in the west half.
- East Pakistani's were discriminated against socially, politically, and economically.
- They were forced to express their right of collective identity, leading towards greater autonomy and subsequently to independence.
- As larger part broke and become Bangladesh
- There were very numerous political movements based on the perception that their province, language, and nationality has been discriminated.
- consequences of this perception resulted in protest against federal structure and federal government in various ways.
- In early 1970s, Baloch leaders fought a war against Islamabad under Bhutto, again under Musharraf and after 2008.
- In early 1980s political parties from Sindh stressed against dictatorship of Gen. Zia under the banner of Movement of Restoration of Democracy.
- For much of 1970s, Pakhtuns were outside from main political stream.
- In late 1980s and early 1990s their emergence of worst and most brutal protest since independence of East Pakistan.
- In Karachi Muhajir Qaumi Movement (MQM) demanding rights of the Urdu speaking people of Sindh. (Karachi and Hyderabad)
- Other than Punjab, all major Linguistic and ethnic groups protested the federal structure.
- In Punjab, Saraiki belt in South has felt discriminated against central Punjab.

VU Academic Consultant 03222254114

- These developments after the democracy in 2008 led to demand for greater provincial autonomy, fiscal federalism and greater responsibility to be transferred in existing provincial units.
- These considerations and demands resulted in seventh National Finance Commission Award and eighteenth Amendment in Constitution of Pakistan.
- With such a history of protest - loss of thousands of lives - we cannot ignore the importance of regional, linguistic, and ethnic issues in Pakistan.

REGIONAL INEQUALITIES

- Economic factors are usually the main cause of protest, by instigating that region, province, people are consciously being discriminated.
- It is difficult to analyze the basis of imbalances.
- Social imbalance - between province, city, people
- Sindh is discriminated - who in Sindh and to what extent?
- Is it all people living in Sindh? Sindhi speaking? rural Sindhis?
- How can we measure discrimination?
- Share of employment in government with respect to share of population
- Lack of private sector investment?
- Greater tax contribution but lower government expenditures?
- Cultural differences
- Which social group is discriminated against?
- Class and social differences are important?

What do we select to identify imbalances?

- Industrialization
- Schooling
- Women empowerment
- Income
- Is development income?
- We should consider trends over time to check development
- District and provinces are administrative units created by government and can be analyzed.
- Comparison of these units regarding the level of development or discrimination can provide us meaningful insight.
- In Pakistan, Karachi seems to be the most developed region and stands out in different categories.

VU Academic Consultant 03222254114

ECONOMIC AND SOCIAL ASPECTS OF KARACHI

- Karachi is highlighted as an economic and social entity with strong indicators, ranking at the top in 106 districts (now 160).
- In the 1998 census, Karachi had the second-highest literacy ratio at 72.2%, with Islamabad having the highest at 72.4%.
- There is a mention of a 63% female literacy ratio.
- Academic research ranked all districts based on the Human Development Index (HDI), where Karachi secured the 5th highest rank.
- Karachi literacy ratio is significantly higher than Sukkur, with a 46% literacy rate.
- Female literacy rate in Karachi is double that of Hyderabad.
- According to the Human Development Index (HDI), Karachi is ranked 5th out of 91 districts, with Dadu ranked 21st and Hyderabad 23rd.
- The current literacy rate in rural areas is 79.89%, while urban areas have an 84.48% literacy rate.
- Karachi's Central District is ranked second with a literacy rate of 81.52% of its total population, with 81.90% male and 81.13% female literacy rates.

REVENUE COLLECTION

- Karachi dominates in revenue collection, economic, manufacturing, services, and other value addition activities.
- 35% of direct tax contribution is attributed to Karachi.
- The port contributes to import duties and import taxes.
- Provincial excise duty and taxes recovered amount to 88.76%.

INCOME INEQUALITIES IN PAKISTAN

- Economic growth is measured as a change in income per capita.
- Lower middle-income nations for 2021-2022 have a GNI (Gross National Income) per capita ranging from $1,046 to $4,095.
- Pakistan's GNI was $1.045 in 2020.
- Why Pakistan is experiencing rising poverty while children, women, and men remain hungry or at high risk of hunger.
- Larger portion of the population is malnourished.
- 10% of children in poor families continue to die before their 5th birthday.
- Exclusion from minimal schooling is highlighted as widespread.

VU Academic Consultant 03222254114

- More than three-fourths of young females are not enrolled in matric.
- Millions of children are forced into hazardous labor or unpaid work.
- The above facts show severe income inequality in the country.
- Social distribution of physical and human capital
- Differentiated returns to these assets due to anti-labor economic policies
- Assets and returns on assets are transferred to those who are already better off.
- For example: subsidies on diesel, fertilizers, and irrigation water in proportion to farm size.
- As compared to marginal and small farm, largest farm devotes a largest share of crop area to water intensive cash crops, cotton, sugarcane.
- They receive larger share of undeserved subsidies.
- In urban areas subsidies given to electricity and gas users, vehicle owners rather than users of buses.

POVERTY THRESHOLD

- Approach to absolute poverty is to count the number of persons in those households whose income cannot purchase standard level of consumption.
- Standard is derived from required level of nutrition, calories from food.
- Mean expenditure per capita is a suitable benchmark when we consider consumption level desirable to avoid poverty.
- Inflation raises the average monthly expenditure.

ASSET INEQUALITY

- Incomes remain highly differentiated because of unequal distribution of assets and their returns.
- In rural and urban jobs lack of education leads to low income.
- Additional education expands their salaries.
- But unaffordable cost of high-quality skills, is a constraint.

VU Academic Consultant 03222254114

- Unequal access of natural resources in rural areas, ownership of land, water, and claim for other public assets like forests.
- The disparity in agricultural incomes can be worse of several reasons:
- Majority of rented land is through share cropping; tenants get only half.
- Access to credit and water and sale opportunities remain biased towards large landlords.

WHAT DOES POVERTY MEANS?

- Poverty is **about not having enough money to meet basic needs including food, clothing and shelter.** However, poverty is more, much more than just not having enough money.
- CRPRID, a unit of Planning Commission, gives a depressing picture of the nature of poverty in the country.
- They focus on the condition of education, health and institutions.
- 6 million of the children between the age of 5 to 9 are out of school.
- Quality of education was available to only a small minority.
- 55% of the population 10 years+ are illiterate under the definition of literacy, which is not even basic under the definition of UNESCO.
- Participation rate at the university level is 3% of the 17-23 years age group, compared to OECD countries where this rate is over 30%.
- There is a huge gender gap as well as a rural-urban gap in literacy rates.
- In Baluchistan, the female literacy rate was only 9%, while in the other 3 provinces, the literacy rate for males was 72%.
- Mortality rates for mothers, children, and infants were high compared to regional and global standards.
- The maternal mortality rate was 400 per 100,000 live births.
- The gender ratio is 108 females to 100 males.
- These indicators shows that poverty was high at the end of 1990.
- Poverty can further be explained as 45% of population having not access to health care, 40% not having clean drinking water and 55% are deprived of sanitation facilities.
- 75% of female was illiterate and under 5 mortality rate is highest in South Asia, higher even than Nepal and Bangladesh.
- These indicators showed the severity of poverty in Pakistan.
- Yet definition was insufficient to capture broader meaning of poverty which should include issues of justice, rights, participation, equality.

VU Academic Consultant 03222254114

- Here we only discuss the issues related to economic and income poverty.
- Generally, in Pakistan poverty is considered the lackness of some monetary values considered adequate for subsistence.

TRENDS IN POVERTY

- In Pakistan Head count method is used to define poverty line.
- Poverty line itself based upon consumption poverty where minimum daily calorie determines poverty line.
- In 2003/4 there were almost 50 million people (32% Of population) fell below poverty line.
- After 2008 there is a huge controversy about extent of poor in Pakistan.

INCIDENCE OF POVERTY (%)

Year	Total	Rural	Urban
1975	35.5	49.8	19.0
1980	27.7	36.2	11.8
1985	9.4	15.2	7.4
1990	12.4	19.0	4.8
1995	14.7	23.1	2.6
2018	21.9	30.7	12.5

- Poverty First rose in 1960s (16%) and after that it experience a continuous decline until 1988 and after that again poverty rise.
- A declining trend in poverty is seen slow in 1990s.
- It is a growing consensus that poverty has increased since 1990s.
- Data also depicts that there is consistent decline in urban poverty in last 50 years.
- Dramatic fall in the poverty in 1970s was attributed to huge reduction in rural poverty.

VU Academic Consultant 03222254114

- If we consider the trends in income distribution, we observe that during 1960 when there was high growth and poverty increased Gini coefficient (income inequality) declines.
- Which means improving the wealth distribution for both urban and rural areas.
- In 1970s there was again an inverse relationship between poverty and income distribution.
- In 1980s and 1990s both poverty and income distribution are moving in same direction.
- In 2000s Musharraf's period, growth rates were high and per capita income rose in this period.
- Factors may be high remittances, fiscal space created which allows govt to spend more, increase in foreign investment and foreign aid, which cause poverty to decline.
- Researchers argues that high growth was followed by low growth, trickle-down effect.
- In Musharraf's period, poverty decline significantly but income distribution probably worsened.
- World bank, share of poor halved, from 34.5% in 2001 to 17.2% in 2008.
- Both urban and rural areas experience significant reduction in poverty.
- This progress was made possible by growth in real per adult consumption expenditures, and declining inequality.

WHO ARE THE POOR AND WHERE DO THEY LIVE?

- Rural areas have higher rates of poverty than urban areas in Pakistan.
- The incidence of poverty is higher among those having no land, with over 40% of landless households being poor.
- Rural NWFP (now Khyber Pakhtunkhwa) had the highest head count ratio of poverty at 45% in 1999.
- North Punjab has a smaller incidence of poverty than Sindh Which is better off than Southern Punjab.
- Across the country, head count ratio fell from 46% in 1985 to 37.4% in 1988 and 34% in 1990, From 1984 to 88 head count ratio fell to18%.
- gender structure of income is significantly linked to poverty but house hold size and dependency ratios are not.

VU Academic Consultant 03222254114

- Poor had the lowest earners per household, female headed households, or households reliant on Women income, gender discrimination,
- In rural areas the poor are mainly sharecroppers, they own the least land, smallest landlords, and not shifted to modern norms of lease contracting.
- The lack of asset ownership is the cause of poverty as assets generates income
- Rural poverty has a strong relationship with unequal distribution of land ownership.
- In urban areas poor have low share of income from manufacturing and earn most of their income from construction or in service sector.
- poor earned only 29% of income from their wage and highly dependent on aid and remittances.
- Rural poor spent 80% of their budgets on 4 essentials (food, energy, rent, apparel) while the middle- and upper-income groups spend 74, and 66%.
- In urban areas poor spent 82% on these items compared to 76% by the middle-income group and 70% by upper income group.
- Reason of the regional variation in poverty is that poverty depends on natural and infrastructural endowments, on the distribution of resources within a region and on structure of economy.
- Institutional structures and arrangements and regional policy variables also influence poverty.

EXPLAINING THE TRENDS IN POVERTY (1960S TO 1988)

- Literature mainly focuses on the relationship of poverty and economic growth
- It is considered that economic growth is prerequisite for poverty reduction.
- Almost every study reveals that economic growth is the foundation of poverty alleviation.

TRENDS IN GROWTH, POVERTY AND INCOME DISTRIBUTION

VU Academic Consultant 03222254114

Decade	Growth	Poverty	Income Distribution
1950s	stagnated	persisted	Unknown
1960s	Rapid increase	increased	improved
1970s	Slow stagnated	declined	worsened
1980s	Rapid increase	declined	Rapid deterioration followed by rapid improvement
1990s	Substantial decline	increased	Worsen
2000-07	Rapid increase	declined	Worsen
2008-13	Substantial decline	May increased	Worsen

- Table suggests that in 1960s and 70s growth and poverty not have correct relationship
- In 1980s and 90s both move in right inverse direction
- Although poverty decline in 1960s but rural poverty increases resultantly increase in overall poverty in the decade of development.
- Reason is the transformation of agrarian structure especially size distribution of land holding
- New technology was key factor which allowed landowners to resume land previously rented out for self-cultivation.
- Increased mechanization led to decrease in the demand of labor which is one of the reasons of increasing poverty despite high growth in output.
- Growth rates of GDP, agriculture, and manufacturing in 1960s were 2 to 3 times greater than 1950s.
- GDP 7%
- Manufacturing 10%
- In 1970s were the only years in the history when poverty and economic development were highlighted.
- Nationalization program of the PPP in 1972-77 that provides employment guarantees to the employees.

VU Academic Consultant 03222254114

- Share of service sector in development plans increased.
- When PPP was removed in 1977 development expenditures was 11% of GDP highest in the history of Pakistan.
- Nationalization measures may have a positive impact on poverty reduction but not have significant impact on growth.

POLICIES OF 1970S

- Land reforms implemented in 1972
- Nationalization of banks resulted in increased number of branches.
- 11% expansion in credit to agriculture.
- Network reaching to far flung remote areas.
- Credit was directed to farmers, business and industries and low-cost housing mandatory for banks.
- Self-employment and small-scale sector were also encouraged by direct credit facilities.
- Due to boom in construction, urban employment level also increased and urban wages also increased sharply.
- Around 1 lack workers left Pakistan to work oversea, sending 1.4billion dollars as remittances which is greater than oil import bill of the country.
- These figures resultantly decline in poverty in 1980s.
- Remittances from Middle East continued to play critical role in economic growth and poverty reduction between 1984 to 1990.
- Public expenditure was above 26% of GDP in 3 of 4 years.
- Government deficit was on 8.2% of GDP higher than annual average of 7% for entire 1980s.
- Key development strategy in this period was junejo's government's 5-point program launched in 1985/6 which had a high rural component.
- Program focused on education, health, roads, electrification, water supply and sanitation, 7 marla plot schemes for rural housing with having rural focus.
- There was also a special development program for local development program, education and housing
- There was also program for Senators and MNAs, where elected representatives were allotted large amount of money to spend on development projects.
- Expenditures on health was higher than average 0.7%

VU Academic Consultant 03222254114

- Expenditures on education rose to an average of 2.3%, 1.9% in 1980s.
- Overall allocation of 5-point program exceeded the plan allocation by 18%.
- There was significant shift in resources towards rural development utilization 48%.
- Expenditures in rural sector accelerated employment and income opportunities for poor.

POVERTY ALLEVIATION IN PAKISTAN

- From our previous discussion it is concluded that poverty alleviation take place through economic growth, high remittances and active public policies.
- Rather we design some specific poverty reduction policies.
- Some development programs including Junejo five-point program having focus on employment and infrastructure but not specifically poverty alleviation.
- In past (1960s) we observed that poverty reduces through explicit factors and positive externalities.
- After 1990s focus was towards making policies to reduce poverty.
- In Pakistan Remittances are considered as most powerful mechanism to alleviate poverty.
- Remittances from Middle East in 1975 till 1980s and again in 2000s shows their significance in economic growth and poverty reduction.
- There was large scale (2 million) migration to Middle East in 70s and 80s.
- Most of the migrants come from rural areas (1.2 million) like barani district of Punjab and NWFP and participated in remittances boom in the country.
- This exaggerated income stream to areas where opportunities of productive employment were limited.
- Household income increased by 2 to 4 times
- Most affected sectors were small scale sector,
- construction, communication, wholesale and retail trades.
- Increase in income resultantly increase their standard of living
- Demand of goods and services increase, transportation facilities improved, improved housing and decentralized decision making improves.
- In 1990s government accept the existence of poverty and increased over previous decades.
- Many programs were announced and included as a strategy in 9th 5-year plan.

VU Academic Consultant 0322254114

- Government entered as an active agent in poverty alleviation.

MIAN COMPONENTS OF POVERTY STRATEGY

Economic growth resulted in increase in per capita, and sustainable economic growth.

- Generating employment opportunities to counter recessionary trends.
- Improve quality of social services.
- Partnership with private sector
- Community based participatory programs.
- System of Social Safety nets
- Microcredit programs
- HDI development
- Empowerment of women.
- Issues of governance

MOST OF THESE TARGETS WERE FAIL TO BE ACHIEVED

There were three main criticisms on these strategies

1. macroeconomic objectives have an impact on growth and employment
2. issues of targeting
3. issues of community participation

- Critical evaluation of poverty strategy suggests that poverty alleviation mechanism of 70s and 80s was far more productive.
- Social safety nets are seeming effective to some extent in this context.

URBANIZATION AND HOUSING

- In 66 years, there has been considerable growth in urban population of the country.
- In 1951, at time of first census 17.6% people lived in urban areas by 1981 this has increased to 28.3% and in 1998 it was 32.5%
- In 2020 it was 37.17%
- It is considered that Pakistan is predominantly urban now

FACTORS OF GROWING URBANIZATION

- Urban population growth result from 3 factors
    1. Natural increase of population.

VU Academic Consultant 03222254114

2. Rural areas are now transformed into urban areas.
3. Net rural to urban migration

- These factors add existing number of residents in towns and cities.
- Areas adjacent to urban centers are including in rural areas.
- Urban areas have grown considerably substantial since 1981, compared with the relative stagnation in 1970s.
- By administrative criterion alone, between 1983 and 1991 114 additional rural settlements become urban as their population increased and they acquired the status of town committees.
- This growth can be contrasted with that of the period 1972-81, when only 24 administrated areas were created.
- In 1972-81 urban population growth rate was 4.4% per annum and increased to 4.8 till 1993.
- Provincial urban population growth rates revealed that Punjab had fastest growth of 4.9% till 1993 while Sindh and Baluchistan grew faster in 1970s.
- By 1993, half of the population of Sindh lived in area designated as urban and 35% of Punjab and 18% of Baluchistan and NWFP Were considered as urban population.
- Rise in urban population during 80s Meant that 5 more cities (Gujranwala, Multan, Rawalpindi, Peshawar and Hyderabad) joined Karachi, Lahore and Faisalabad having more than million inhabitants.
- Urban growth is normally attributed to push and pull factor.
- Push factors causing inhabitants to lave rural areas like declining urban growth and production, floods and natural calamities.

URBAN POPULATION BY PROVINCE

	1972	1981	1998
Pakistan	25.4	28.3	32.5
Punjab	24.4	27.6	31.3
Sindh	40.4	43.3	48.8
NWFP	14.3	15.0	16.9
Baluchistan	16.4	15.6	23.9

VU Academic Consultant 03222254114

- Pull factors include availability of jobs in industry and services, desire for better schooling and health facilities, aspiration to urban culture and bright lights phenomenon.
- Food production did not significantly grow in 1980s and more than 3% of population increased in rural areas.
- Increasing fragmentation of land holdings as population has grown and affected rural migrants.
- In cities 1980 was a boom period with growing and dynamic manufacturing sector and industry and construction shows positive trends.

HOUSING IN CITIES

- There is a belief that better jobs can be found in cities so rural urban migration continues.
- While cities are growing at unprecedent rates social services and facilities are not able to keep pace with the growth.
- There are various factors which cause failure of government housing policies.

FACTORS OF FAILURE:

- An affluent Middle class
- Development on too small scale
- The developer's lobby
- The Socio-economics of the poor
- High cost of development and lease
- People want land immediately

VU Academic Consultant 03222254114

MODULE 9

ENERGY CRISIS IN PAKISTAN

ENERGY CRISIS

- Energy crisis has severe impacts on the industrial sector as well as overall economy since 2008.
- 2-3% of GDP lost every year on account of power storage.
- Electricity is a major component in economic activities, and they are severely suffered.
- The textile industry and power looms have significant losses.
- Report released in 2012 by the Asian Development Bank stated that the absence of energy was the main constraint for economic growth and suggested that better load management was required to minimize commercial losses.
- In FY 2011-12 losses arising from power storage 3-4% of GDP.
- Improved management of power resources could certify the predictability of load shedding to allow the private sector to better schedule work and minimize cost.
- Estimates show a loss of 13% of total manufacturing sales which was approximately 130 billion.
- Energy crisis is hitting the industry at multiple levels, especially energy tariff increases.
- SMEs close down as they are unable to generate their own powers.
- Unannounced load-shedding and voltage fluctuations damage machinery worth millions of dollars.
- Unavailability of electricity harms the productivity of the workforce.
- Akmal Hussain 2012 writes, the core of power crisis lie in 3 facts
- 1.82% of electricity production is oil-based as oil prices rising.
- The average cost of electricity is so high that the government does not have the fiscal capacity to provide subsidies necessary to supply electricity at a price that most consumers can afford.
- Billions of Rupees of unpaid electricity bills by the provincial government, semi-autonomous cooperation and federal government departments.

VU Academic Consultant 03222254114

- The recovery of this shortfall prevents the government from paying its dues to independent power products which are forced to cut back power production.
- Industrial weakness combined with obsolete transmission technology results in theft and transmission losses of 30% of total electricity generated.
- The long–term solution is to invest in hydroelectric power.
- In the Short run, apart from improving recoveries, an annual foreign aid of about 5 billion dollars is required for 5 years to achieve full capacity utilization and supply electricity at an affordable price.
- Shortfall was around 5000 MW in 2012
- Both domestic and commercial users suffered resulting in loss of economic activities.
- Most of the economic activities in Pakistan occurred in Punjab where large amounts of power looms and the textile industry reside and face losses.
- Sources of electricity generation are oil, hydel, and natural, gas.
- From the overall production of power 27% is used by industry, 13 % is used in agriculture and the remaining goes to domestic uses.
- Huge demand –supply gap related to imported oil prices and seasonal water flows.
- New developments and planning have not been able to bridge the gap.
- There are also issues of generation, transmission, distribution, and consumption stages.
- A vicious circle of circular debt has emerged where distribution companies have to pay for electricity to generation companies, who in turn have to pay their input suppliers.
- BISCO does not receive the full payment they resort to borrowing due to high-interest costs, and debt arises.

DEALING WITH IMMEDIATE PROBLEM

- 3rd national energy conference held in Lahore 2012, take immediate measures to deal with the problem.
- Distribute a load of shortfall in all provinces and reduce the heavier burden from Punjab.

VU Academic Consultant 03222254114

- Government offices were to work 5 days a week
- All markets close by 8 pm.
- Replacing regular bulbs with energy servers.
- 7000MW saved by observing 5-day work schedule in the office.

ENVIRONMENT DEGRADATION IN PAKISTAN

- Pakistan's population is around 2% of the world population.
- Its energy consumption is mere 0.29% which is less than even half of 1%.
- Developed nations consume more energy while developing nations have the most population.
- Low-income countries use energy of about 353kg (oil equivalent), per capita while in high-income economies 5245 kg per capita.
- Pakistan's energy use of 209kg per capita which is below the low-income country average.
- In India 242kgper capita.
- Each Pakistani contributes 0.1 tons of carbon to the atmosphere, which is about 120th per capita contribution globally.
- Proportion of deforestation is among the highest in Pakistan at the global level.
- Rate of loss of tropical forests was rapid at a global rate.
- It is evaluated that Pakistan's contribution to environmental problems and argued that Pakistan is neither a major polluter nor a large consumer of resources.
- Like many other countries in Pakistan environmental degradation and excessive rural and urban pollution are bordering on catastrophic situations.
- This has increased the concerns of an ecological disaster such as floods and other environmental disasters.
- Deforestation has a severe impact on the environment, cutting timber is faster than new plantation.

VU Academic Consultant 03222254114

- Salinity in Sindth is destroying potentially good quality agricultural land and also affecting rural housing.
- Both salinity and deforestation are the biggest threat to the rural sector.
- Emissions from industries and pollution from cars and other vehicles in cities enhance the problem since the urban industry and manufacturing sector are improving.
- In 1992, the government of Pakistan adopted national conservation strategy as an official policy document.

Policy had 3 explicit objectives

1. conversation of natural resources
2. sustainable development
3. improved efficiency in the use of natural resources.

14-point agenda was identified for priority treatment;

1. maintaining soil in croplands.
2. increasing irrigation efficiency
3. protecting watersheds.
4. supporting and plantation
5. improving livestock
6. sustainable livestock
7. conservation biodiversity
8. increasing energy efficiency
9. developing renewable energy sources.
10. reducing pollution
11. managing urban waste
12. supporting institutions for common resources
13. integrating pollution and environment programs.
14. preserving the culture heritage.

- The Environment Performance Index (EPI) ranks Pakistan **176 out of 180** countries in the terms of air quality in 2021,
- Pakistan is today the world's fourth most polluted country. Air pollution shortens the average Pakistani's life expectancy by 4.3 years, relative to what

VU Academic Consultant 03222254114

it would have been if the World Health Organization (WHO) guideline was met.

VU Academic Consultant 03222254114